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Investor Presentation | Japan

Pharmaceuticals

- l Top Pick: Daiichi Sankyo
- l OW (Preference order): Daiichi Sankyo, Takeda, Otsuka, Chugai
- l OW (Mid-cap and generic): Kaken, Towa
- l Industry View: In-Line

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PHARMACEUTICALS

Japan

Industry View

In-Line

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Our Coverage Stocks

Shinichiro Muraoka

Company	Ticker	Rating	Price Target	Current Price (2026/6/16)	Upside/Downside	YTD (%)	Market cap (bn)
Daiichi Sankyo	4568.T	Overweight	4,650	¥2,520	85%	-25%	¥4,694
Takeda	4502.T	Overweight	6,300	¥5,020	25%	4%	¥7,988
Otsuka HD	4578.T	Overweight	14,100	¥10,360	36%	16%	¥5,625
Chugai	4519.T	Overweight	10,700	¥7,523	42%	-8%	¥12,632
Shionogi	4507.T	Equal-Weight	2,950	¥2,809	5%	-1%	¥2,499
Eisai	4523.T	Equal-Weight	3,800	¥3,750	1%	-19%	¥1,094
Astellas	4503.T	Equal-Weight	2,050	¥2,144	-4%	3%	¥3,880
SanBio	4592.T	Equal-Weight	1,500	¥1,175	28%	-25%	¥92
JCR	4552.T	Equal-Weight	500	¥448	12%	-36%	¥58
Ono	4528.T	Underweight	1,950	¥2,259	-14%	5%	¥1,127
Kyowa Kirin	4151.T	Underweight	1,800	¥2,402	-25%	-5%	¥1,262

Jaeheon Lee

Company	Ticker	Rating	Price Target	Current Price (2026/6/16)	Upside/Downside	YTD (%)	Market cap (bn)
Kaken	4521.T	Overweight	5,300	¥3,770	41%	-6%	¥166
Towa	4553.T	Overweight	5,600	¥3,875	45%	7%	¥200
Sumitomo Pharma	4506.T	Equal-Weight	2,200	¥1,487	48%	-35%	¥668
Santen	4536.T	Equal-Weight	1,900	¥1,920	-1%	19%	¥619
Tsumura	4540.T	Equal-Weight	4,100	¥3,761	9%	-8%	¥289
Sawai GHD	4887.T	Equal-Weight	2,000	¥1,651	21%	-29%	¥191
Nippon Shinyaku	4516.T	Underweight	2,600	¥3,986	-35%	-30%	¥280

Source: FactSet, Company, Morgan Stanley Research

Valuations for Our Coverage Stocks (1)

															P/E*				EPS Growth		PEG
Company	Rating	PT	Share Price 2026/06/16	YTD (%)	Last 4 wks	Mkt Cap (bn)	2025	2026e	2027e	2028e	2029e	2030e	2025	2026e	2027e	2028e	2029e	2030e	2025-30e	Ratio	
Takeda	OW	¥6,300	¥5,020	2.1%	-6.4%	¥7,988	516.8	475.5	518.1	579.2	612.8	619.1	9.7x	10.6x	9.7x	8.7x	8.2x	8.1x	4%	2.9	
Astellas	EW	¥2,050	¥2,144	1.9%	-8.3%	¥3,880	237.0	277.1	244.1	190.7	185.5	210.6	9.0x	7.7x	8.8x	11.2x	11.6x	10.2x	-2%	(3.3)	
Daiichi Sankyo	OW	¥4,650	¥2,520	-22.5%	0.8%	¥4,694	210.2	163.8	126.4	176.7	218.4	276.2	12.0x	15.4x	19.9x	14.3x	11.5x	9.1x	6%	2.7	
Eisai	EW	¥3,800	¥3,750	-17.8%	-18.9%	¥1,094	136.8	182.2	247.8	253.8	261.2	236.1	27.4x	20.6x	15.1x	14.8x	14.4x	15.9x	12%	1.8	
Otsuka	OW	¥14,100	¥10,360	19.1%	-5.9%	¥5,625	685.1	623.1	715.5	794.4	883.0	648.4	15.1x	16.6x	14.5x	13.0x	11.7x	16.0x	-1%	(15.2)	
Chugai	OW	¥10,700	¥7,523	-7.2%	-3.6%	¥12,632	274.1	311.3	350.5	390.3	424.0	484.8	27.5x	24.2x	21.5x	19.3x	17.7x	15.5x	12%	2.0	
Kyowa Kirin	UW	¥1,800	¥2,402	-3.2%	3.2%	¥1,262	161.3	193.7	199.6	175.2	173.7	173.7	14.9x	12.4x	12.0x	13.7x	13.8x	13.8x	1%	8.3	
Sumitomo Pharma	EW	¥2,200	¥1,487	-35.4%	-12.4%	¥668	236.2	213.4	270.7	164.9	304.0	193.1	6.3x	7.0x	5.5x	9.0x	4.9x	7.7x	-4%	(1.8)	
Shionogi	EW	¥2,950	¥2,809	-0.3%	-8.0%	¥2,499	248.2	349.0	327.6	331.6	277.5	250.7	11.3x	8.0x	8.6x	8.5x	10.1x	11.2x	0%	39.5	
Nippon Shinyaku	UW	¥2,600	¥3,986	-29.7%	-6.3%	¥280	441.2	440.6	259.6	47.5	54.9	54.9	9.0x	9.0x	15.4x	84.0x	72.6x	72.6x	-34%	(0.3)	
Kaken	OW	¥5,300	¥3,770	-5.0%	-8.1%	¥166	56.6	174.1	218.9	84.4	153.0	255.9	66.7x	21.7x	17.2x	44.7x	24.6x	14.7x	35%	0.6	
Ono	UW	¥1,950	¥2,259	3.5%	-11.2%	¥1,127	220.3	191.7	151.3	186.4	186.2	175.6	10.3x	11.8x	14.9x	12.1x	12.1x	12.9x	-4%	(2.7)	
Santen	EW	¥1,900	¥1,920	15.7%	1.1%	¥619	133.3	139.3	151.4	168.8	186.8	214.8	14.4x	13.8x	12.7x	11.4x	10.3x	8.9x	10%	1.4	
Tsumura	EW	¥4,100	¥3,761	-9.1%	-2.0%	¥289	376.3	404.2	432.3	428.2	460.4	481.8	10.0x	9.3x	8.7x	8.8x	8.2x	7.8x	5%	1.8	
JCR	EW	¥500	¥448	-34.6%	-10.7%	¥58	17.9	5.7	13.9	5.7	18.9	29.5	25.1x	78.0x	32.1x	78.0x	23.8x	15.2x	11%	7.4	
SanBio	EW	¥1,500	¥1,175	-33.4%	-37.9%	¥92	(52.6)	(65.9)	(40.2)	(19.7)	2.1	59.7	-	-	-	-	573.1x	19.7x	-	-	
Sawai	EW	¥2,000	¥1,651	-28.9%	-17.5%	¥191	162.1	172.7	182.2	196.9	208.2	220.4	10.2x	9.6x	9.1x	8.4x	7.9x	7.5x	6%	1.5	
Towa	OW	¥5,600	¥3,875	3.6%	-0.3%	¥200	106.7	513.9	505.8	550.5	578.9	595.2	36.3x	7.5x	7.7x	7.0x	6.7x	6.5x	41%	0.2	
Pharma Avg. (Weighted)													16.8x	15.8x	15.1x	14.3x	14.3x	12.7x	5%	3.4	
US Pharma (covered by Terence Flynn)																					
Abbvie	OW	\$278.0	\$222.47	-3.2%	5.2%	\$393.1	\$10.0	\$14.8	\$17.4	\$19.5	\$20.7	\$21.2	22.3x	15.0x	12.8x	11.4x	10.7x	10.5x	16%	1.4	
BMJ	UW	\$40.0	\$55.92	2.5%	-3.0%	\$114.2	\$6.1	\$6.5	\$5.9	\$5.0	\$4.3	\$4.9	9.1x	8.6x	9.5x	11.2x	12.9x	11.4x	-4%	(2.1)	
JNJ	OW	\$283.0	\$235.18	13.2%	3.9%	\$566.1	\$10.8	\$11.8	\$13.5	\$15.3	\$17.3	\$18.9	21.8x	19.9x	17.5x	15.3x	13.6x	12.4x	12%	1.8	
Eli Lilly	OW	\$1,344.0	\$1,122.50	3.5%	10.7%	\$1,057.1	\$24.2	\$39.9	\$47.1	\$57.8	\$64.0	\$73.8	46.4x	28.1x	23.8x	19.4x	17.5x	15.2x	25%	1.9	
Merck	EW	\$112.0	\$115.17	9.7%	4.4%	\$284.4	\$9.0	\$5.3	\$9.9	\$11.0	\$8.9	\$9.5	12.8x	21.8x	11.6x	10.5x	12.9x	12.2x	1%	11.6	
Pfizer	EW	\$28.0	\$26.04	4.1%	2.3%	\$148.4	\$3.2	\$3.1	\$3.0	\$2.3	\$2.2	\$2.3	8.1x	8.5x	8.6x	11.3x	12.0x	11.5x	-7%	(1.2)	
US Pharma Avg. (Weighted)													29.6x	21.6x	17.9x	15.5x	14.6x	13.1x	15%	2.0	
EU Pharma (covered by Sarita Kapila and Thibault Bouterin)																					
AZN	OW	GBp 16,500	GBp 13,284	-2.3%	-1.2%	\$276.7	\$9.2	\$10.1	\$11.6	\$12.3	\$14.0	\$16.4	19.5x	17.6x	15.4x	14.5x	12.8x	10.9x	12%	1.6	
GSK	UW	GBp 1,750	GBp 1,950	-2.3%	5.9%	\$106.0	GBp 172.0	GBp 182.2	GBp 199.9	GBp 199.1	GBp 197.5	GBp 190.3	11.3x	10.7x	9.8x	9.8x	9.9x	10.2x	2%	5.6	
Novartis	OW	CHF 135	CHF 120	10.4%	3.7%	\$307.1	\$9.0	\$8.7	\$9.8	\$11.1	\$12.5	\$13.2	16.8x	17.3x	15.4x	13.6x	12.1x	11.4x	8%	2.1	
Novo Nordisk	EW	DKK 250	DKK 280	-12.2%	-4.6%	\$147.6	DKK 26.2	DKK 21.4	DKK 20.9	DKK 21.7	DKK 22.9	DKK 25.2	10.7x	13.1x	13.4x	12.9x	12.3x	11.1x	-1%	(14.2)	
Roche	EW	CHF 295	CHF 330	-0.7%	0.4%	\$331.3	CHF 19.6	CHF 20.5	CHF 21.9	CHF 22.7	CHF 24.7	CHF 25.0	16.8x	16.1x	15.1x	14.5x	13.3x	13.2x	5%	3.4	
Sanofi	EW	€ 90	€ 76	-9.5%	1.2%	\$106.6	€ 7.8	€ 8.6	€ 9.1	€ 10.0	€ 11.0	€ 11.9	9.7x	8.8x	8.4x	7.6x	6.9x	6.3x	9%	1.1	
EU Pharma Avg. (Weighted)													15.6x	15.3x	14.0x	13.1x	12.0x	11.2x	7%	2.3	
Biotech (covered by Terence Flynn)																					
Amgen	EW	\$340.0	\$222.0	4.4%	4.7%	\$187.7	\$21.8	\$22.6	\$23.0	\$25.8	\$28.8	\$32.1	10.2x	9.8x	9.7x	8.6x	7.7x	6.9x	8%	1.3	
Gilead	OW	\$168.0	\$127.2	2.2%	-2.5%	\$158.0	\$8.1	\$0.7	\$9.8	\$10.6	\$12.1	\$13.8	15.6x	-186.0x	12.9x	12.0x	10.5x	9.2x	11%	1.4	
Biogen	EW	\$206.0	\$195.6	12.9%	3.0%	\$28.9	\$15.3	\$15.8	\$15.2	\$14.9	\$10.7	\$11.2	12.8x	12.4x	12.9x	13.2x	18.2x	17.4x	-6%	(2.1)	
Vertex	OW	\$616.0	\$453.2	1.2%	5.0%	\$115.0	\$18.4	\$18.7	\$20.1	\$22.4	\$27.2	\$33.1	24.6x	24.2x	22.5x	20.2x	16.7x	13.7x	12%	2.0	
Regeneron	EW	\$788.0	\$614.7	-21.2%	-12.8%	\$63.3	\$44.2	\$46.4	\$54.2	\$62.5	\$70.0	\$75.1	13.9x	13.3x	11.3x	9.8x	8.8x	8.2x	11%	1.2	
Biotech Avg. (Weighted)													15.3x	-42.6x	13.6x	12.4x	11.0x	9.7x	9%	1.6	

Note 1: For Japanese companies, FY ends in March excluding Chugai, Kyowa Kirin and Otsuka (Dec FY-end). Note 2: EPS estimates for Kaken, Eisai, JCR, and SanBio are on a reported basis, and EPS estimates for other companies exclude one-off factors and goodwill amortization. Note 3: e = Morgan Stanley Research estimates. OW = Overweight, EW = Equal-weight, UW = Underweight Source: FactSet, Company, Morgan Stanley Research

Valuations for Our Coverage Stocks (2)

Company	Rating	PT	Share Price 2026/06/16	YTD (%)	Last 4 wks	Mkt Cap (bn)	EV (25) (bn)	2025	2026e	2027e	2028e	2029e	2030e	2025	2026e	2027e	2028e	2029e	2030e	P/B 2025	DY (%)
Takeda	OW	¥6,300	¥5,020	2.1%	-6.4%	¥7,988	¥12,275	7.7x	8.6x	8.6x	7.9x	7.6x	7.6x	2.7x	2.8x	2.4x	2.0x	1.5x	1.2x	1.0x	4.0%
Astellas	EW	¥2,050	¥2,144	1.9%	-8.3%	¥3,880	¥4,155	7.1x	6.3x	7.3x	9.0x	9.3x	8.2x	0.5x	0.0x	-0.7x	-1.5x	-2.0x	-2.2x	2.1x	3.6%
Daiichi Sankyo	OW	¥4,650	¥2,520	-22.5%	0.8%	¥4,694	¥4,439	14.1x	10.0x	8.8x	9.4x	7.8x	6.3x	-0.8x	-0.6x	-0.8x	-0.9x	-0.8x	-0.9x	2.8x	3.1%
Eisai	EW	¥3,800	¥3,750	-17.8%	-18.9%	¥1,094	¥1,033	12.3x	9.4x	7.7x	7.6x	7.6x	8.2x	-0.7x	-0.2x	0.1x	0.1x	0.1x	-0.1x	1.2x	4.3%
Otsuka	OW	¥14,100	¥10,360	19.1%	-5.9%	¥5,625	¥5,183	8.7x	9.4x	8.3x	7.5x	6.9x	8.7x	-0.7x	-1.0x	-1.1x	-1.3x	-1.6x	-2.2x	1.8x	1.4%
Chugai	OW	¥10,700	¥7,523	-7.2%	-3.6%	¥12,632	¥11,652	17.7x	15.8x	14.1x	12.8x	11.8x	10.4x	-1.5x	-1.7x	-1.9x	-2.1x	-2.4x	-2.5x	6.1x	3.6%
Kyowa Kirin	UW	¥1,800	¥2,402	-3.2%	3.2%	¥1,262	¥1,042	7.7x	6.6x	6.4x	7.0x	7.1x	7.0x	-1.6x	-1.5x	-1.7x	-2.1x	-2.3x	-2.5x	1.4x	2.6%
Sumitomo Pharma	EW	¥2,200	¥1,487	-35.4%	-12.4%	¥668	¥836	6.6x	6.6x	5.2x	7.3x	4.0x	5.9x	1.3x	0.0x	-0.7x	-1.9x	-1.5x	-3.0x	2.0x	0.0%
Shionogi	EW	¥2,950	¥2,809	-0.3%	-8.0%	¥2,499	¥2,448	12.6x	7.1x	16.1x	16.1x	16.1x	16.1x	-0.3x	-0.2x	0.0x	0.0x	0.0x	0.0x	1.4x	2.5%
Nippon Shinyaku	UW	¥2,600	¥3,986	-29.7%	-6.3%	¥280	¥234	5.4x	5.3x	8.1x	22.1x	21.1x	21.5x	-1.1x	-1.3x	-2.4x	-6.5x	-6.0x	-5.9x	0.9x	3.1%
Kaken	OW	¥5,300	¥3,770	-5.0%	-8.1%	¥166	¥120	55.4x	10.7x	8.8x	19.3x	11.4x	7.5x	-21.7x	-3.7x	-2.9x	-5.8x	-3.0x	-1.9x	1.0x	5.0%
Ono	UW	¥1,950	¥2,259	3.5%	-11.2%	¥1,127	¥998	7.7x	8.0x	9.6x	7.9x	7.9x	8.3x	-1.0x	-1.6x	-2.3x	-2.2x	-2.6x	-3.2x	1.2x	3.5%
Santen	EW	¥1,900	¥1,920	15.7%	1.1%	¥619	¥567	7.7x	7.5x	7.0x	6.4x	5.9x	5.2x	-0.7x	-0.9x	-1.2x	-1.5x	-1.8x	-1.9x	2.1x	2.0%
Tsumura	EW	¥4,100	¥3,761	-9.1%	-2.0%	¥289	¥336	6.4x	5.8x	5.2x	5.1x	4.8x	4.7x	0.9x	1.7x	2.2x	2.5x	2.7x	3.1x	0.9x	3.9%
JCR	EW	¥500	¥448	-34.6%	-10.7%	¥58	¥98	31.5x	23.3x	16.9x	13.1x	10.2x	8.7x	12.8x	12.4x	9.9x	7.8x	6.1x	5.2x	1.2x	4.5%
SanBio	EW	¥1,500	¥1,175	-33.4%	-37.9%	¥92	¥106	-	-	-	-	320.8x	16.9x	-3.7x	-1.5x	-0.8x	-1.2x	4.1x	0.8x	6.7x	0.0%
Sawai	EW	¥2,000	¥1,651	-28.9%	-17.5%	¥191	¥267	8.4x	6.4x	6.0x	5.4x	5.0x	4.7x	2.4x	2.1x	2.4x	2.4x	2.4x	2.2x	1.1x	3.3%
Towa	OW	¥5,600	¥3,875	3.6%	-0.3%	¥200	¥366	8.8x	7.1x	7.0x	6.7x	6.5x	6.4x	4.0x	2.9x	2.8x	2.4x	2.1x	1.8x	1.1x	2.1%
Pharma Avg. (Weighted)									11.9x	10.5x	10.3x	10.0x	10.1x	9.0x	-0.3x	-0.3x	-0.5x	-0.9x	-1.1x	-1.3x	3.0x
US Pharma (covered by Terence Flynn)																					
Abbvie	OW	\$278	\$222.47	-3.2%	5.2%	\$393.06	\$455.3	18.6x	13.5x	11.6x	10.3x	9.8x	9.6x	2.5x	1.4x	1.5x	1.2x	1.1x	0.9x	-120.3x	3.0%
BMJ	UW	\$40.00	\$55.92	2.5%	-3.0%	\$114.2	\$148.6	9.7x	8.4x	8.9x	10.4x	11.8x	10.6x	2.3x	1.7x	1.7x	1.8x	2.0x	1.7x	6.2x	4.5%
JNJ	OW	\$283.00	\$235.18	13.2%	3.9%	\$566.1	\$594.0	17.9x	15.9x	14.4x	12.8x	11.4x	10.7x	0.8x	0.4x	1.0x	0.8x	0.7x	0.6x	6.9x	2.2%
Eli Lilly	OW	\$1,344.00	\$1,122.50	3.5%	10.7%	\$1,057.1	\$1,092.3	38.1x	23.8x	20.8x	17.1x	15.5x	13.5x	1.2x	0.4x	0.7x	0.6x	0.5x	0.4x	38.0x	0.5%
Merck	EW	\$112.00	\$115.17	9.7%	4.4%	\$284.4	\$319.2	10.7x	14.9x	9.7x	9.0x	11.0x	10.6x	1.2x	1.6x	0.8x	0.4x	0.3x	0.1x	5.5x	2.8%
Pfizer	EW	\$28.00	\$26.04	4.1%	2.3%	\$148.4	\$199.6	8.4x	8.3x	8.5x	10.8x	11.5x	11.2x	2.2x	2.2x	2.2x	2.6x	2.6x	2.4x	1.7x	6.6%
US Pharma Avg. (Weighted)									24.6x	17.9x	15.5x	13.6x	12.8x	11.7x	1.4x	0.8x	1.0x	0.9x	0.8x	0.6x	-0.3x
EU Pharma (covered by Sarita Kapila and Thibault Bouterin)																					
AZN	OW	GBp 16,500	GBp 13,284	-2.3%	-1.2%	\$276.7	\$300.6	15.5x	13.7x	12.3x	11.8x	10.5x	9.0x	1.2x	0.8x	0.3x	-0.2x	-0.6x	-1.1x	5.7x	1.8%
GSK	UW	GBp 1,750	GBp 1,950	-2.3%	5.9%	\$106.0	\$120.2	9.3x	8.7x	8.1x	8.1x	8.2x	8.5x	1.3x	1.3x	1.0x	0.7x	0.5x	0.3x	4.8x	3.1%
Novartis	OW	CHF 135	CHF 120	10.4%	3.7%	\$307.1	\$329.0	14.2x	14.4x	13.0x	11.8x	10.7x	10.3x	0.9x	1.5x	1.2x	0.9x	0.5x	0.2x	5.0x	3.1%
Novo Nordisk	EW	DKK 250	DKK 280	-12.2%	-4.6%	\$147.6	\$244.9	6.3x	5.8x	6.9x	6.6x	6.4x	6.0x	0.7x	0.8x	0.9x	0.8x	0.6x	0.5x	3.5x	4.2%
Roche	EW	CHF 295	CHF 330	-0.7%	0.4%	\$331.3	\$347.5	10.8x	10.4x	9.8x	9.4x	8.7x	8.6x	0.7x	0.4x	0.1x	-0.1x	-0.5x	-0.8x	7.8x	3.2%
Sanofi	EW	€ 90	€ 76	-9.5%	1.2%	\$106.6	\$117.8	7.3x	6.7x	6.5x	6.0x	5.5x	5.1x	0.8x	0.7x	0.5x	0.2x	-0.1x	-0.4x	1.3x	5.2%
EU Pharma Avg. (Weighted)									11.7x	11.1x	10.4x	9.8x	9.0x	8.5x	0.9x	0.9x	0.6x	0.3x	0.0x	-0.3x	5.4x
Biotech (covered by Terence Flynn)																					
Amgen	EW	\$340.00	\$222.02	4.4%	4.7%	\$187.7	\$233.2	13.7x	13.3x	13.2x	12.4x	11.6x	10.7x	2.7x	2.3x	1.9x	1.4x	1.0x	0.5x	13.8x	4.3%
Gilead	OW	\$168.00	\$127.23	2.2%	-2.5%	\$158.0	\$175.3	12.9x	54.9x	10.6x	10.0x	8.9x	7.9x	1.3x	3.0x	1.1x	1.0x	0.8x	0.7x	7.0x	2.5%
Biogen	EW	\$206.00	\$195.61	12.9%	3.0%	\$28.9	\$31.4	10.1x	10.3x	10.0x	10.4x	13.7x	13.2x	0.8x	0.2x	1.8x	1.8x	2.4x	1.7x	1.6x	0.0%
Vertex	OW	\$616.00	\$453.17	1.2%	5.0%	\$115.0	\$108.4	19.8x	18.6x	17.3x	15.8x	13.0x	10.7x	-1.2x	-2.0x	-0.2x	-0.2x	-0.2x	-0.2x	6.2x	0.0%
Regeneron	EW	\$788.00	\$614.73	-21.2%	-12.8%	\$63.3	\$56.7	10.8x	10.2x	8.8x	7.5x	6.7x	6.3x	-1.3x	-1.4x	-1.6x	-1.7x	-2.0x	-2.4x	2.1x	0.6%
Biotech Avg. (Weighted)									14.2x	25.8x	12.7x	11.8x	10.7x	9.6x	0.9x	1.1x	0.8x	0.6x	0.4x	0.1x	8.3x

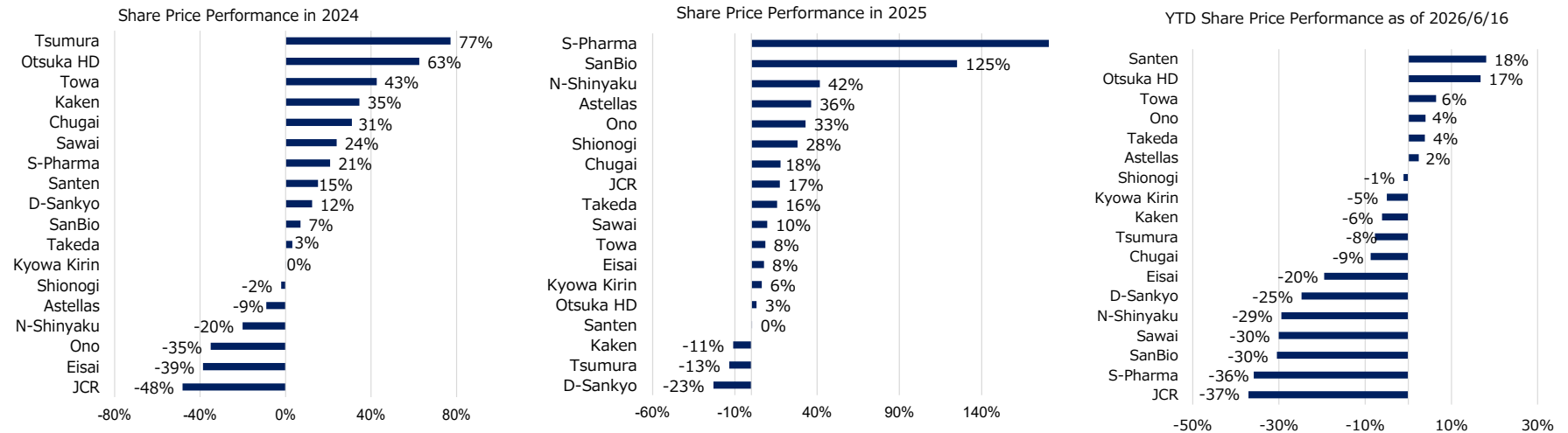
Note 1: For Japanese companies, fiscal year ends in March excluding Chugai, Kyowa Kirin and Otsuka HD (Dec FY-end). Note 2: e = Morgan Stanley Research, OW = Overweight, EW = Equal-weight, UW = Underweight.
Source: FactSet, Company, Morgan Stanley Research, Refer to the following slides for industry view for US.

OW: Large cap: Daiichi Sankyo Takeda, Otsuka HD and Chugai. Mid-cap: Kaken. Generic: Towa

	Daiichi Sankyo	Astellas	Ono	Kyowa Kirin	Nippon Shinyaku	Santen	Takeda	Eisai	Otsuka HD	Chugai	Shionogi	Sumitomo Pharma	Kaken	Tsumura	JCR	SanBio	Sawai	Towa
MS Rating	OW	EW	UW	UW	UW	EW	OW	EW	OW	OW	EW	EW	OW	EW	EW	EW	EW	OW
Price Target	4,650.00	2,050.00	1,950.00	1,800.00	2,600.00	1,900.00	6,300.00	3,800.00	14,100.00	10,700.00	2,950.00	2,200.00	5,300.00	4,100.00	500.00	1,500.00	2,000.00	5,600.00
Current Price (2026/6/16)	2,520	2,144	2,259	2,402	3,986	1,920	5,020	3,750	10,360	7,523	2,809	1,487	3,770	3,761	448	1,175	1,651	3,875
Upside/Downside	85%	-4%	-14%	-25%	-35%	-1%	25%	1%	36%	42%	5%	48%	41%	9%	12%	28%	21%	45%
Market Cap (USDmn)	28,611 USD	25,836 USD	6,625 USD	7,842 USD	1,675 USD	4,779 USD	48,760 USD	6,599 USD	34,128 USD	77,225 USD	14,904 USD	3,685 USD	897 USD	1,795 USD	345 USD	616 USD	1,280 USD	1,190 USD
Avg Daily Traded Vol (USDmn)	152 USD	88 USD	32 USD	20 USD	10 USD	12 USD	139 USD	41 USD	69 USD	138 USD	49 USD	111 USD	3 USD	9 USD	4 USD	29 USD	5 USD	3 USD

Street View: Ratings

Buy/Overweight	88%	31%	14%	17%	38%	67%	69%	27%	77%	65%	36%	57%	25%	25%	14%	0%	67%	83%
Hold/Equal-weight	12%	62%	64%	33%	50%	33%	31%	67%	23%	35%	64%	29%	75%	75%	86%	80%	22%	17%
Sell/Underweight	0%	8%	21%	50%	13%	0%	0%	7%	0%	0%	0%	14%	0%	0%	0%	20%	11%	0%

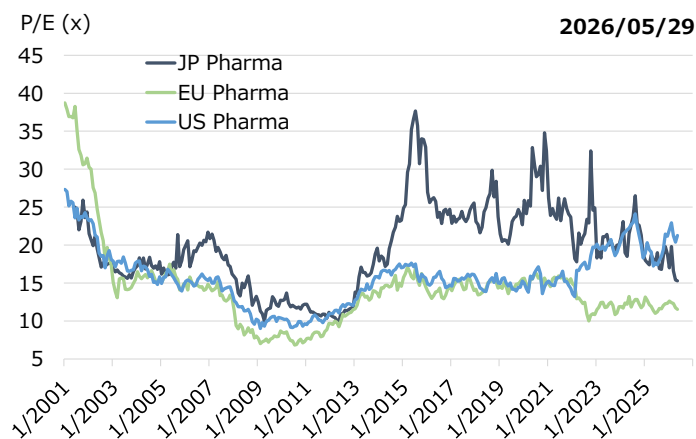


Source: FactSet, Morgan Stanley Research, Note: OW = Overweight, EW = Equal-weight, UW = Underweight

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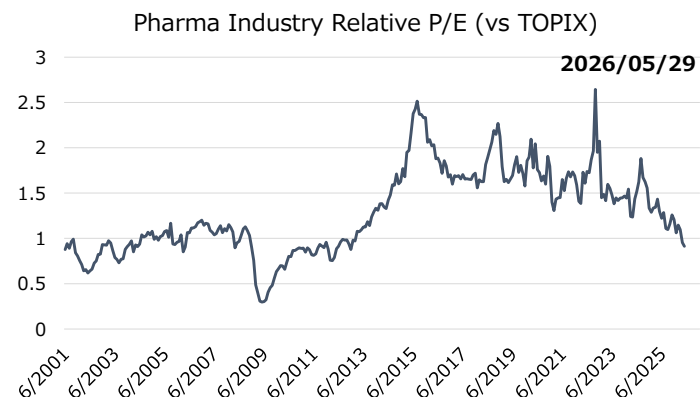
Pharma: Valuation Comparison (vs Global Pharma, vs TOPIX)

P/E trends: Japan, US and EU Pharma

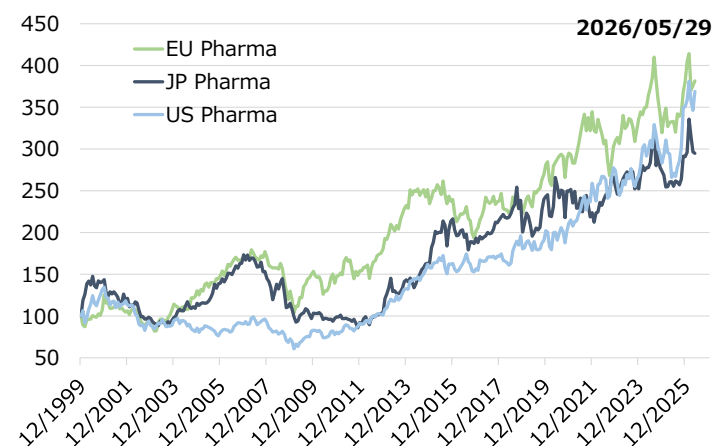


Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted avg of our coverage P/E based on our 1-1.5yr forward EPS estimates

TOPIX-relative P/E of Japan Pharma



Stock Performance: Japan, US and EU Pharma



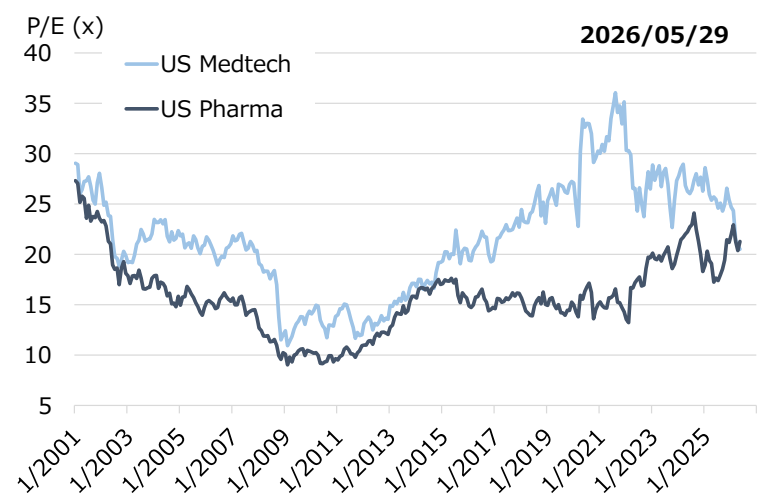
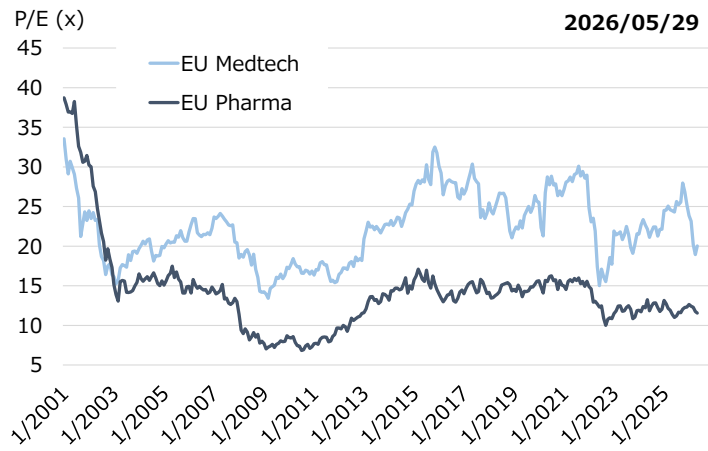
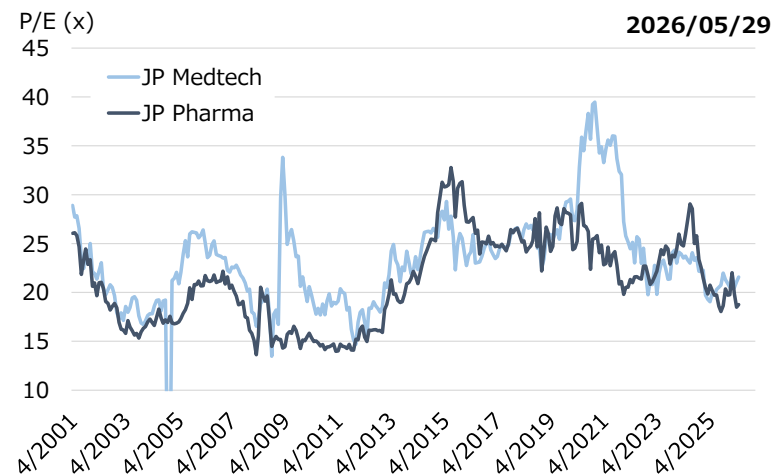
Note: Japan Pharma = TOPIX Pharma. US Pharma = S&P Pharma Industry Index. Europe Pharma = FactSet Pharma. 12/30/1999 = 100. Source: FactSet, Morgan Stanley Research

Our view on the pharmaceutical industry

Japan	In-Line
US	Major Pharma: In-Line Biotech: Attractive
EU	In-Line

Source: FactSet, Morgan Stanley Research

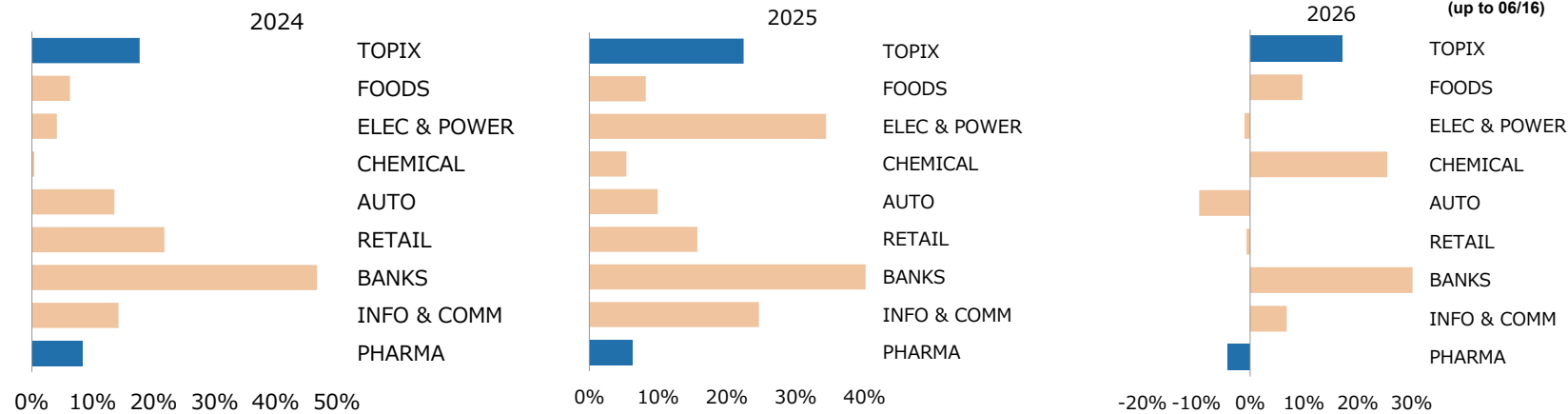
Pharma vs. MedTech: P/E Comparison (Global)



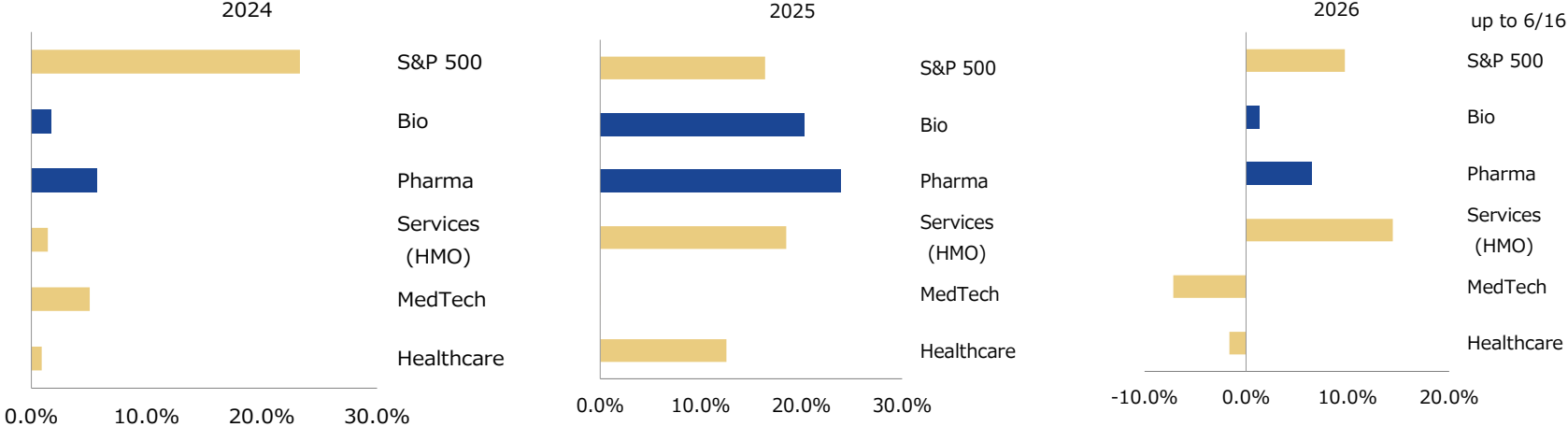
Source: FactSet, Morgan Stanley Research

Japan/US: Performance by Sector

Japan: Stock Performance by TOPIX Sector



US: Stock Performance by MSCI Sector



Source: FactSet, Morgan Stanley Research

History of Price Cuts

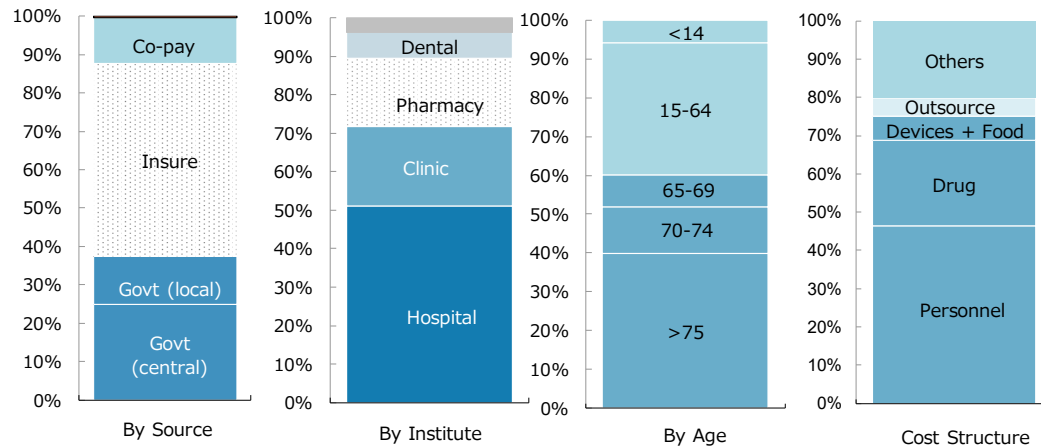
% of Overseas Sales (Based on FY2025)



Note: The revision rate above excludes the amount compensating for consumption tax and similar items.
Source: RIS FAX, Nikkan Yakugyo, Company data, Morgan Stanley Research

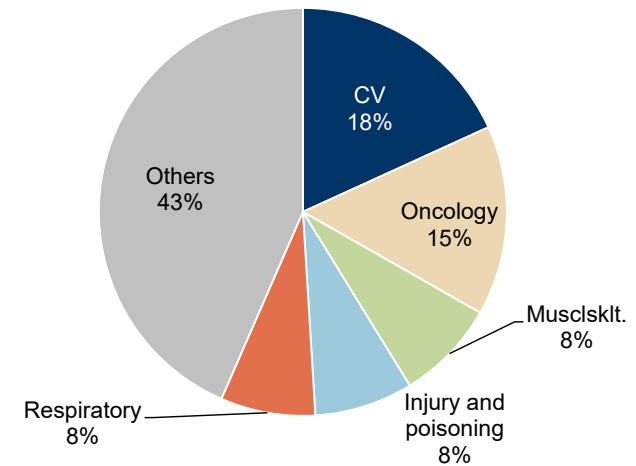
Medical & Pharma Cost Spending Structure in Japan

Japanese Healthcare: Breakdown of ¥48trn annual budget (F3/2024)



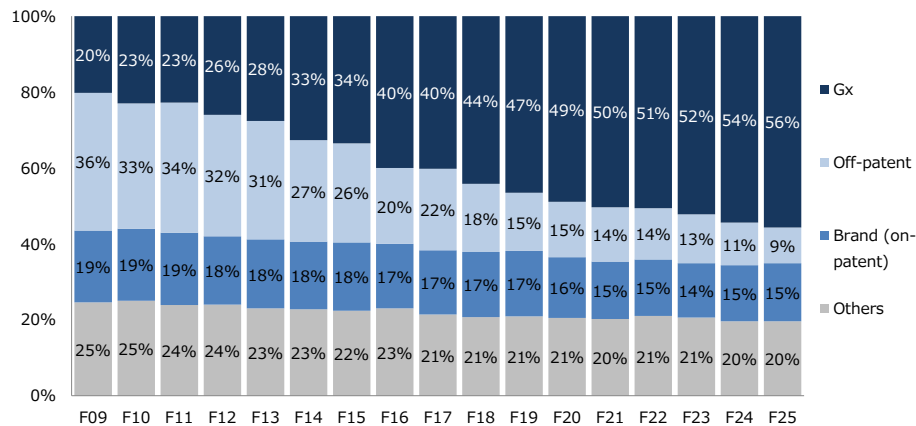
Source: MHLW, Morgan Stanley Research, Note: Only "Cost Structure" shows data for F3/2017

JP Pharma Spending (by indication, 2023)



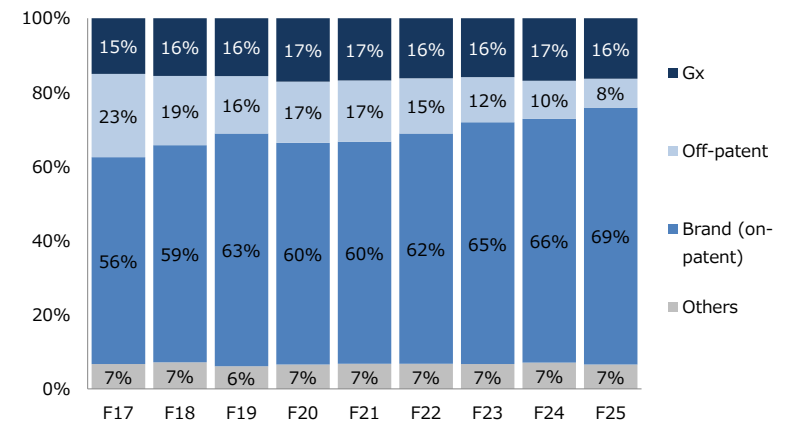
Source: MHLW, Morgan Stanley Research

Rx market Breakdown by Volume (Jpn)



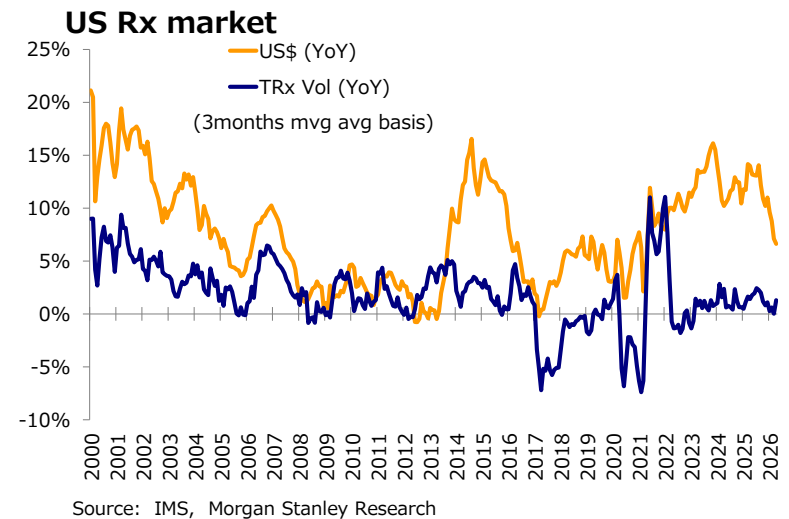
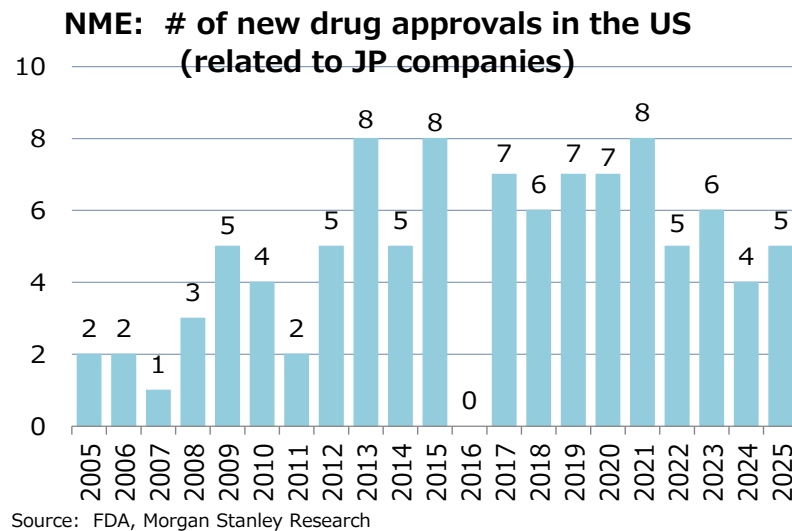
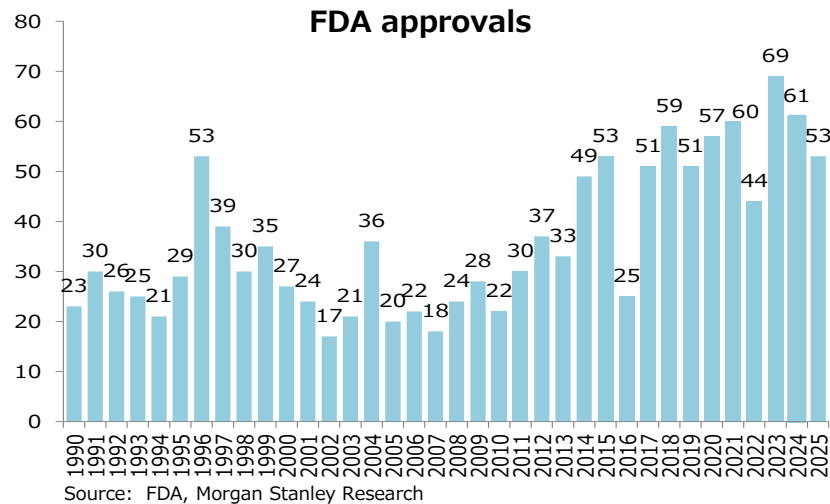
Source: MHLW, Morgan Stanley Research

Rx market Breakdown by Value (Jpn)

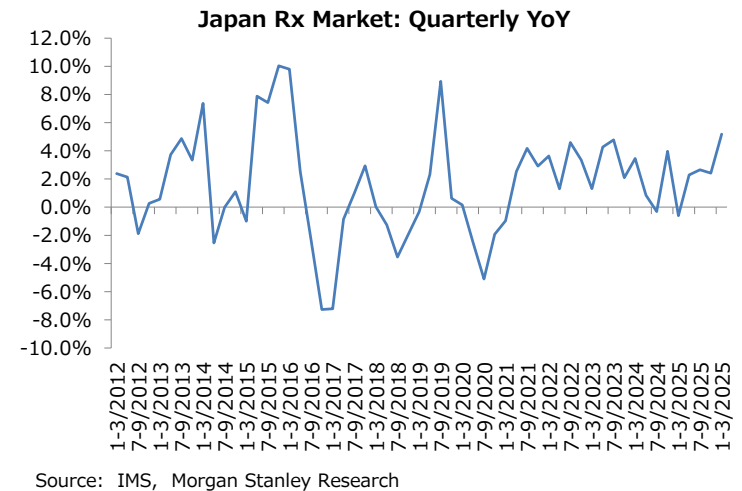


Source: MHLW, Morgan Stanley Research

New Drug Approvals Rising & Market Growth



Japanese Rx market: Quarterly growth rate



Forex Sensitivity

Forex Impact

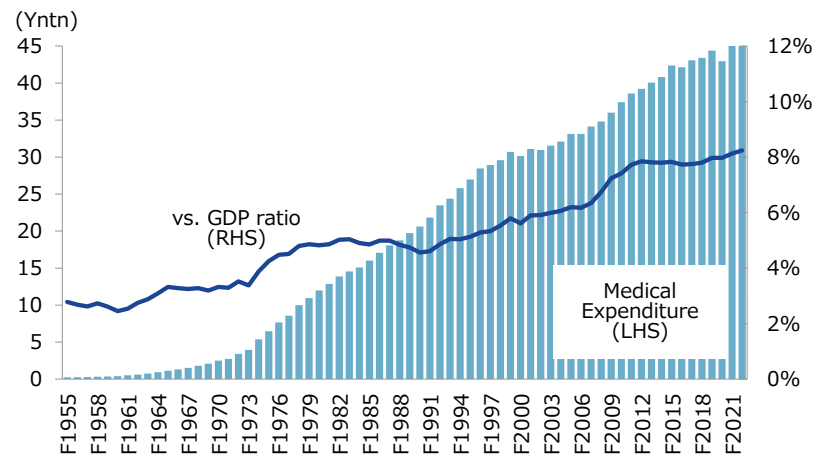
	FX		Impact of ¥1 appreciation (¥, 100mil)		F3/27Ce (¥, 100mil)		FX effect to F3/27Ce	
	F3/26	F3/27Ce	Sales	OP	Sales	OP	Sales	OP
Takeda*					46,400	11,600		
USD	150.0	156.0	-132.1	-23.9			-0.3%	-0.2%
EUR	174.0	182.0	-38.0	9.7			-0.1%	0.1%
RUB*	1.9	2.0	-4.5	-2.9			0.0%	0.0%
CNY*	21.1	22.4	-19.9	-12.2			0.0%	-0.1%
BRL*	27.6	29.5	-14.2	-11.6			0.0%	-0.1%
Astellas					22,200	6,200		
USD	151.0	150.0	-81.0	-23.0			-0.4%	-0.4%
EUR	175.0	180.0	-38.0	-17.0			-0.2%	-0.3%
Daiichi Sankyo					22,800	3,600		
USD	150.8	150.0	-65.0	2.0			-0.3%	0.1%
EUR	174.8	180.0	-26.0	-7.0			-0.1%	-0.2%
Eisai					8,835	700		
USD	150.8	153.0	19.6	-5.2			0.2%	-0.7%
EUR	174.8	180.0	2.7	0.3			0.0%	0.0%
GBP	202.1	205.0	0.6	-0.8			0.0%	-0.1%
CNY	21.2	22.5	59.6	34.6			0.7%	4.9%
Sumitomo Pharma					5,400	910		
USD	150.7	155.0	-28.0	-6.0			-0.5%	-0.7%
CNY	20.1		-	-				
Shionogi					7,000	2,200		
USD	150.7	153.0	-	-				
GBP	201.9	205.0	-	-				80% hedged
EUR	174.7	184.0	-	-				
Santen*					3,110	590		
USD	150.8	155.0	-0.2	0.6			0.0%	0.1%
EUR	174.7	180.0	-6.7	-0.7			-0.2%	-0.1%
CNY	21.3	23.0	-3.3	-0.7			-0.1%	-0.1%
Ono					4,550	1,240		
USD	151.0	155.0	-15.0	-5.0			-0.3%	-0.4%

	FX			Impact of ¥1 appreciation (¥, 100mil)		F12/26Ce (¥, 100mil)		FX effect to F12/26Ce	
	F12/25	1Q	F12/26Ce	Sales	OP	Sales	OP	Sales	OP
FY end in Dec									
Chugai						13,450	6,700		
CHF	173.6	182.6	184.0	-	-				80% hedged
EUR	168.8	183.3	179.0	-	-				
USD	147.1	149.9	151.0	-	-				
SGD	113.6	122.2	119.0	-	-				
Otsuka						25,200	3,550	-0.4%	-0.5%
USD	149.6	157.0	150.0	-86.0	-16.0			-0.3%	-0.5%
EUR	169.2	183.6	175.0	-8.0	-2.0			0.0%	-0.1%
Kyowa Kirin						5,200	1,300	-0.4%	-0.4%
USD	150.0	155.0	150.0	-18.0	-6.0			-0.3%	-0.5%
GBP	197.0	210.0	205.0	-1.0	1.0			0.0%	0.1%
EUR	168.0	183.0	180.0	-4.0	-2.0			-0.1%	-0.2%

Takeda, Astellas, S-Pharma, Shionogi, Santen, Chugai, Otsuka, and Kyowa Kirin's OP = Core OP, Ce=company estimates, For Takeda, values for RUB/CNY/BRL are the impact of 1% yen appreciation and for Santen, FX sensitivity values are the impact of 1% yen appreciation; Source: Company data, Morgan Stanley Research

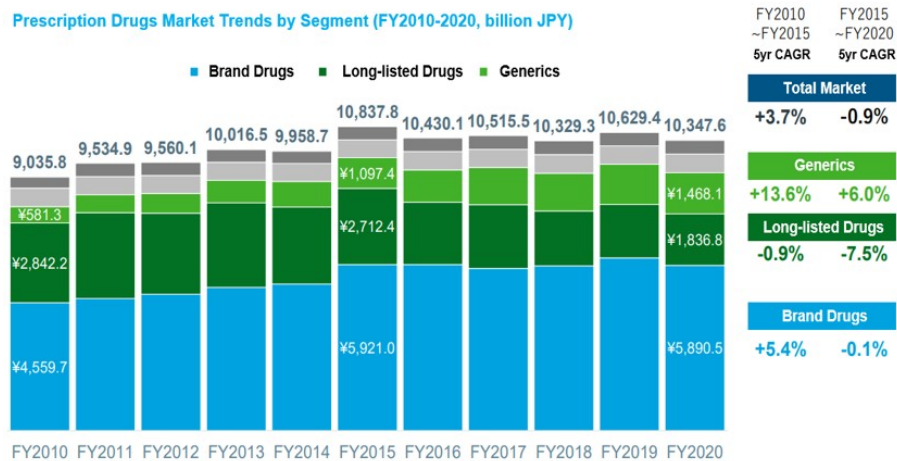
Medical & Pharma Cost Spending in Japan

Japan: Medical Cost & GDP Ratio



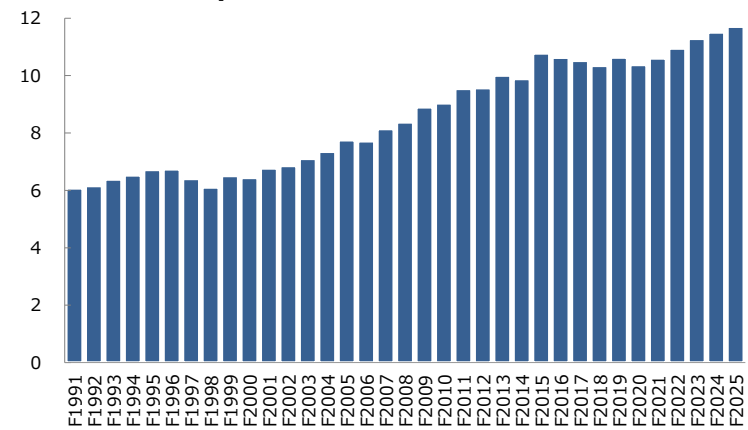
Note: Fiscal year ends in the following March. Source: MHLW, Morgan Stanley

Prescription Drugs Market Trends by Segment (FY2010-2020, billion JPY)



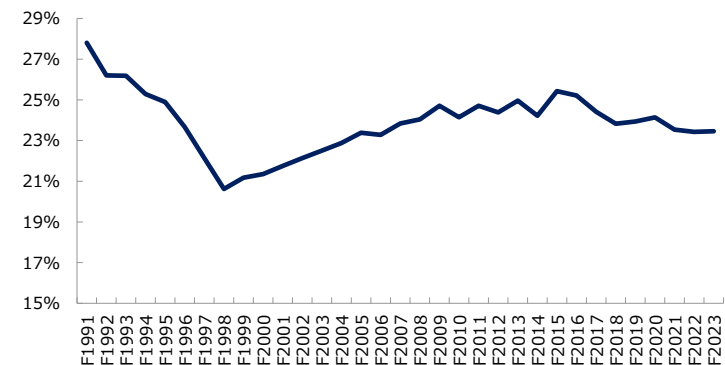
Source: IQVIA, Morgan Stanley Research

Japan Rx Market Size Trends



Note: Fiscal year ends in the following March, Source: MHLW, Morgan Stanley Research

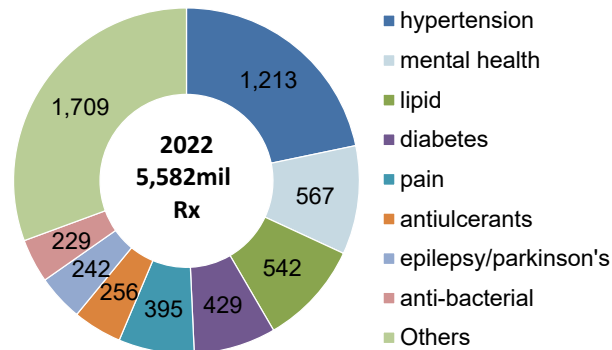
Rx market/ National Health Expenditure



Note: Fiscal year ends in the following March, Source: MHLW, Morgan Stanley Research

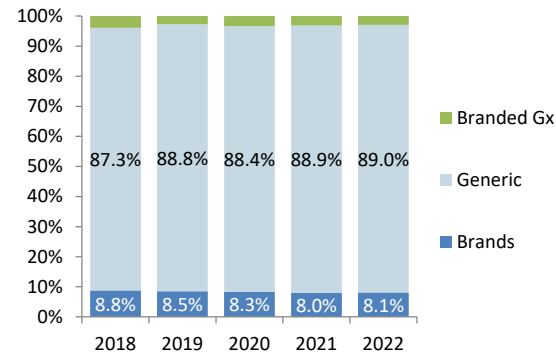
US Pharmaceutical Market

US Market by Disease (Volume)



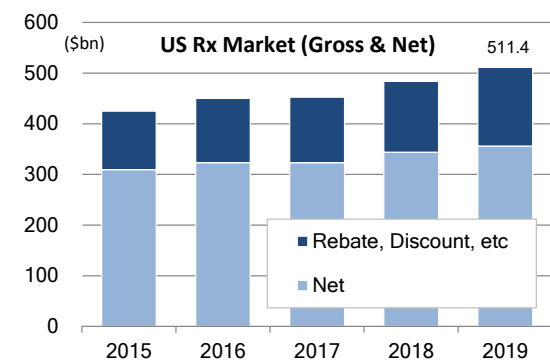
Source: IQVIA, Morgan Stanley Research

US Market Trends: Brand vs. Gx (Vol)



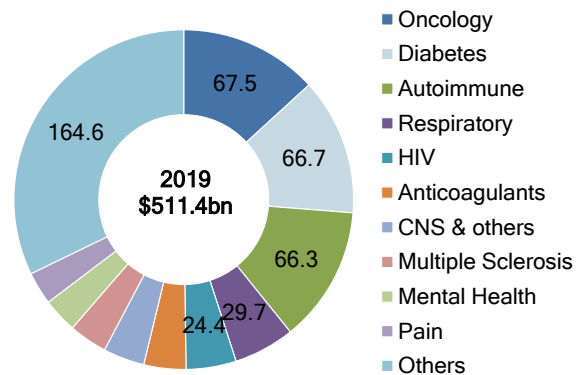
Source: IQVIA, Morgan Stanley Research

US Rx Market: Gross vs. Net



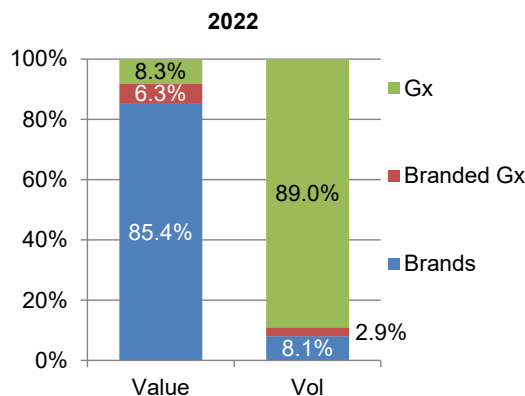
Source: IQVIA, Morgan Stanley Research

US Market by Disease (Value)



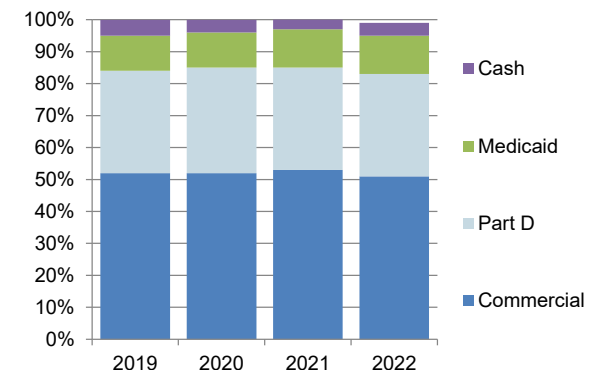
Source: IQVIA, Morgan Stanley Research

US Market Trends: Brand vs. Gx



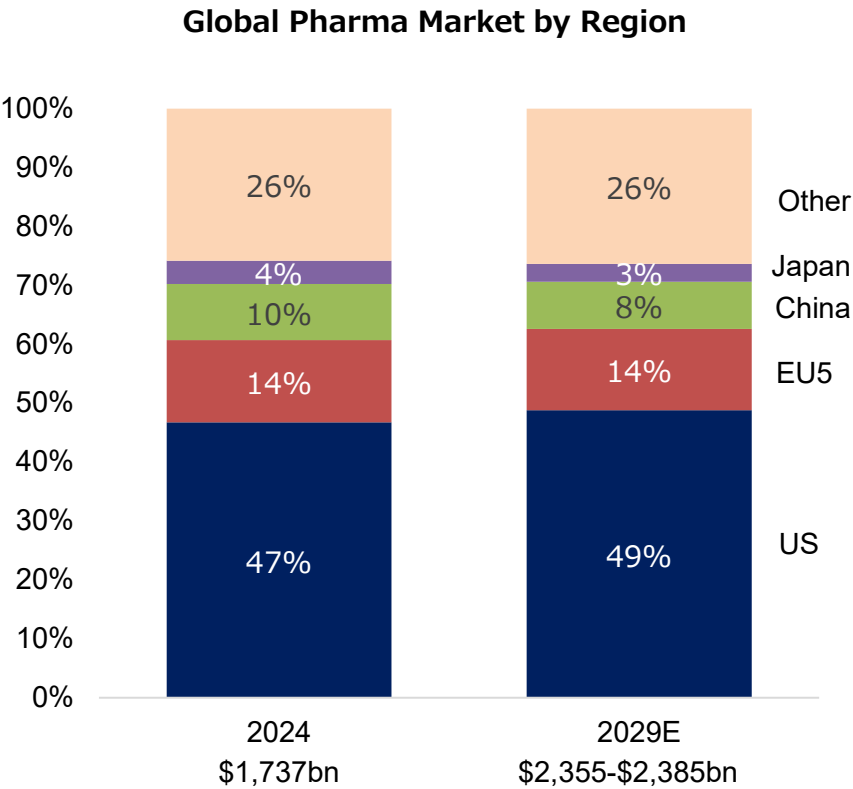
Source: IQVIA, Morgan Stanley Research

US Market by Payer

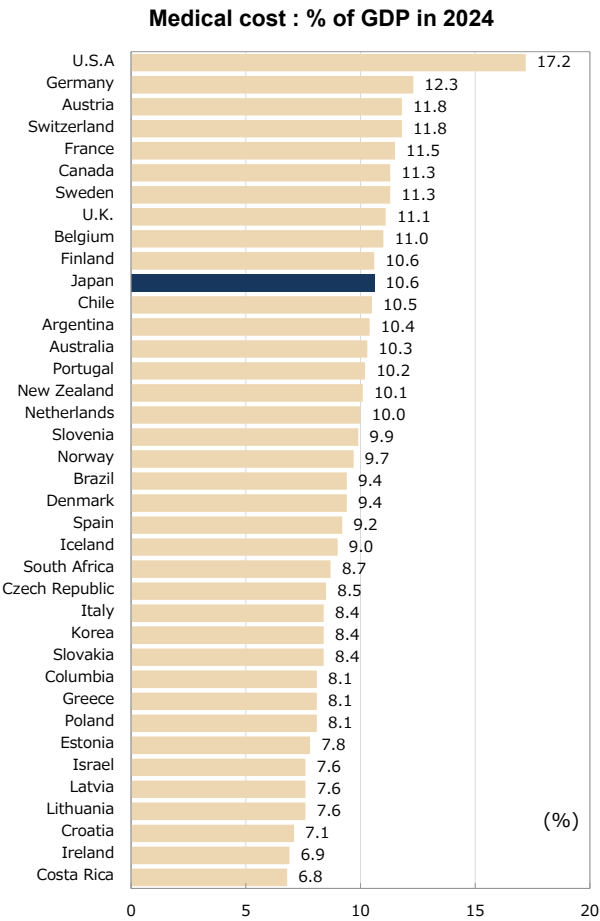


Source: IQVIA, Morgan Stanley Research

Global Medical & Pharma Market Structure



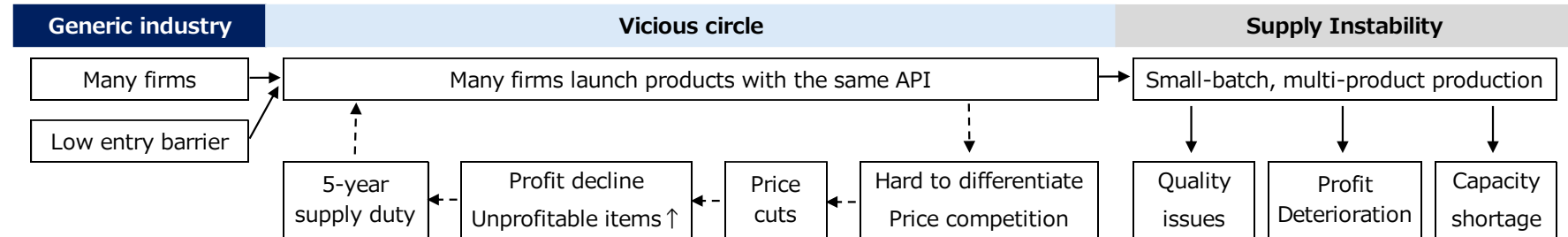
Source: IQVIA "Global Use of Medicines 2024",
Morgan Stanley Research, Note: E=IQVIA estimates



Source: OECD Health Statistics 2022, Morgan Stanley Research

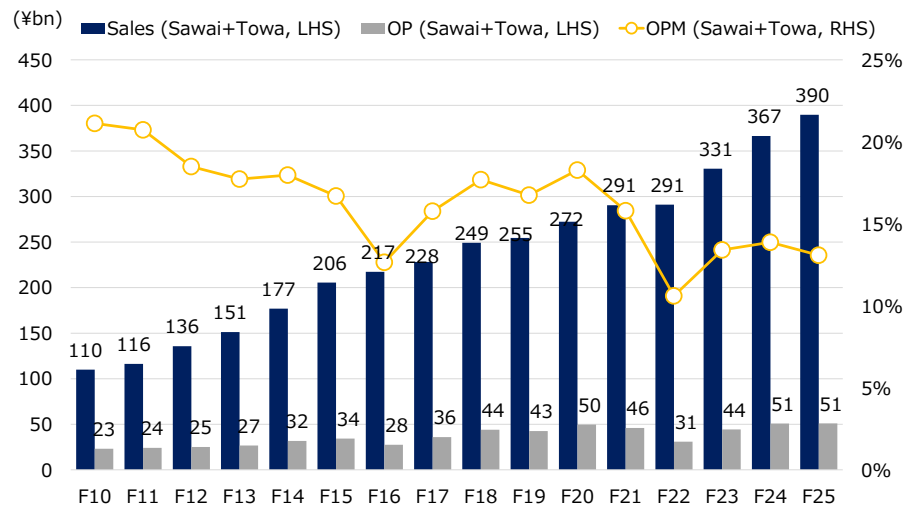
Japan Generic Market (1)

Our thoughts on structural issues of the generic drug industry



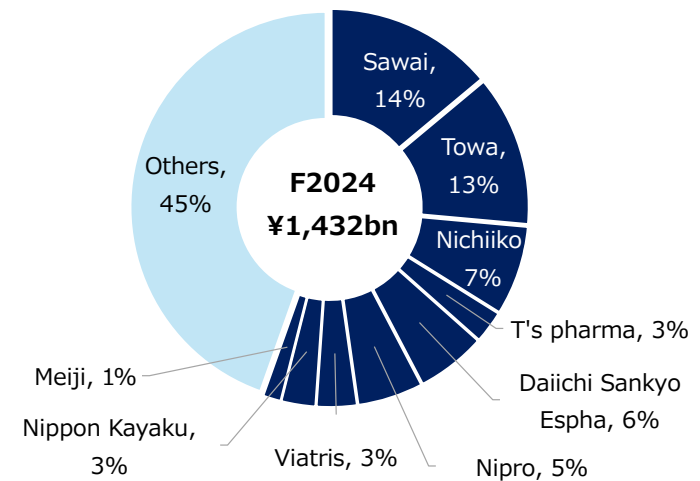
Source: Morgan Stanley Research

Sawai & Towa combined earnings trends (Japan business only)



Source: Company data, Morgan Stanley Research, Note: Sawai is based on Core OP

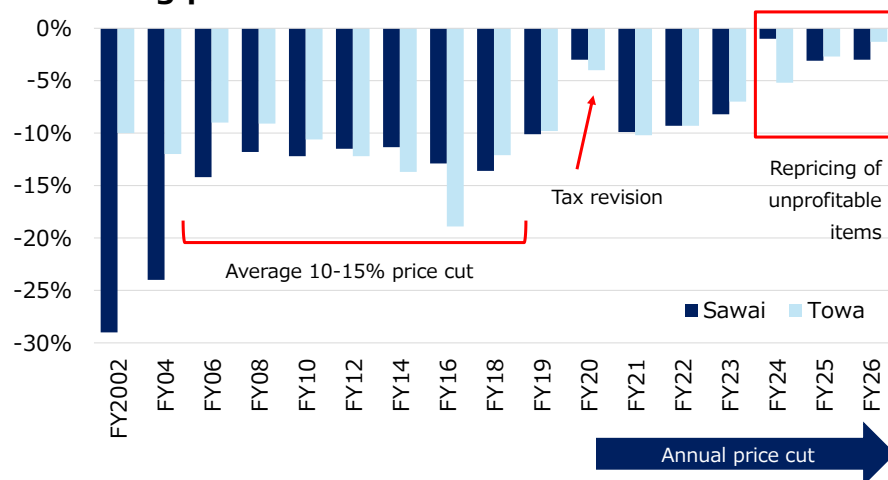
Share in the generic market (2024)



Fuji Keizai Generic Drug Industry in a Period of Transformation and Strategic Analysis of Key Companies (2025). Morgan Stanley Research, Note: based on Fuji Keizai data and our estimates

Japan Generic Market (2)

Drug price revision trend for Sawai and Towa

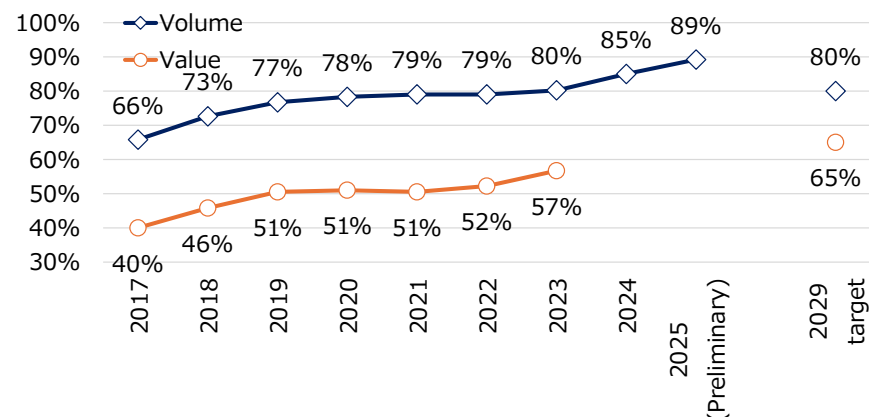


Generic industry reorganization with 3 main groups

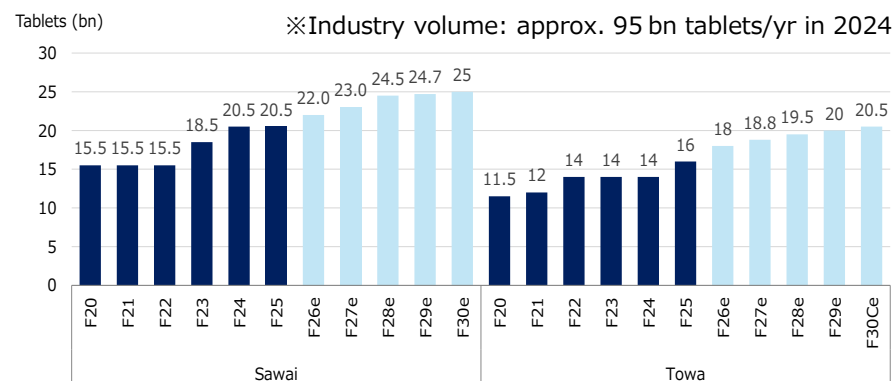
Independent	Consortium	And Pharma (fund JWP)
Sawai	Meiji Seika Pharma	Nichiiko
Towa	Daito	Kyowa Pharma
	Tatsumi Kagaku	T's Pharma
	Nippon Chemiphar	

Source: Company data, Morgan Stanley Research

Volume/value share trends of generics



Production capacity plans of Sawai and Towa



Next Quarter Earnings Estimates (Company vs Our est. vs Consensus)

Ticker	Company	OP basis	Consensus			Sales							OP						
			Source	# of Est		1Q			F3/27			Ce	1Q			F3/27			Ce
				1Q	F3/27	MSe	Cons	Gap	MSe	Cons	Gap		MSe	Cons	Gap	MSe	Cons	Gap	
4502	Takeda	Core	Visible a	6	9	1,135.5	1,157.6	-1.9%	4,626.0	4,671.6	-1.0%	4,640.0	321.1	323.6	-0.8%	1,176.0	1,168.0	0.7%	1,160.0
4503	Astellas	Core	Visible a	6	7	541.5	553.4	-2.2%	2,291.0	2,255.1	1.6%	2,220.0	150.4	167.6	-10.3%	662.5	638.4	3.8%	620.0
4568	Daiichi Sankyo	Core	Visible a	5	8	523.2	537.1	-2.6%	2,304.0	2,314.5	-0.5%	2,280.0	102.6	90.2	13.7%	365.0	372.0	-1.9%	360.0
4523	Eisai	Reported	Visible a	8	9	215.0	214.8	0.1%	899.0	892.9	0.7%	883.5	19.4	19.5	-0.5%	70.3	73.4	-4.2%	70.0
4507	Shionogi	Core	Visible a	4	5	158.0	158.1	-0.1%	719.0	697.8	3.0%	700.0	52.7	52.7	0.0%	250.5	240.5	4.2%	220.0
4528	Ono	Core	Visible a	5	7	107.2	107.1	0.1%	451.0	452.6	-0.4%	455.0	30.0	24.9	20.5%	118.5	123.4	-4.0%	124.0
4506	Sumitomo Pharma	Core	Visible a	2	4	111.0	113.9	-2.5%	545.8	547.1	-0.2%	540.0	8.5	8.8	-3.4%	105.3	100.1	5.2%	91.0
4516	Nippon Shinyaku	Reported	Visible a	2	3	45.0	47.5	-5.3%	190.6	196.8	-3.2%	200.0	9.7	9.4	2.7%	37.6	39.3	-4.3%	38.0
4536	Santen	Core	Visible a	4	5	68.6	70.7	-3.0%	304.1	298.2	2.0%	311.0	12.3	12.1	1.7%	59.8	57.1	4.7%	59.0
4521	Kaken	Reported	IFIS	1	3	28.5	51.5	-44.7%	89.0	74.2	20.0%	89.9	8.5	8.1	4.8%	8.2	1.6	429.0%	7.9
4540	Tsumura	Reported	IFIS	3	3	50.8	50.2	1.2%	215.8	216.7	-0.4%	213.0	10.1	9.5	6.3%	40.0	39.3	1.8%	37.5
4552	JCR	Reported	Visible a	3	4	9.7	9.4	3.2%	46.0	43.5	5.7%	45.7	(0.1)	(0.9)	-88.9%	1.5	1.7	-11.8%	1.1
4887	Sawai GHD	Core	Visible a	5	6	50.5	51.1	-1.2%	208.6	209.7	-0.5%	208.4	7.1	7.3	-2.7%	28.9	30.6	-5.6%	29.6
4553	Towa	Reported	Visible a	4	5	72.3	72.2	0.1%	303.4	302.3	0.4%	304.0	6.3	5.8	7.8%	32.6	31.7	2.8%	32.0
YoY						YoY			YoY			YoY	YoY			YoY			YoY
4502	Takeda	Core	Visible a			2.6%	4.6%		2.7%	3.7%		3.0%	-0.2%	0.5%		0.3%	-0.4%		-1.1%
4503	Astellas	Core	Visible a			7.1%	9.4%		7.1%	5.4%		3.8%	5.7%	17.8%		19.2%	14.9%		11.6%
4568	Daiichi Sankyo	Core	Visible a			10.2%	13.2%		8.5%	9.0%		7.4%	6.5%	-6.3%		1.4%	3.3%		0.0%
4523	Eisai	Reported	Visible a			6.1%	6.0%		8.9%	8.2%		7.0%	-6.5%	-6.0%		59.3%	66.3%		58.6%
4507	Shionogi	Core	Visible a			58.3%	58.4%		43.9%	39.7%		40.1%	48.0%	48.0%		55.8%	49.6%		36.9%
4528	Ono	Core	Visible a			-15.9%	-16.0%		-12.6%	-12.3%		-11.8%	36.4%	13.2%		28.5%	33.8%		34.4%
4506	Sumitomo Pharma	Core	Visible a			2.8%	5.5%		20.4%	20.7%		19.1%	(11.9)	(11.6)		-0.7%	-5.6%		-14.1%
4516	Nippon Shinyaku	Reported	Visible a			13.8%	20.1%		11.6%	15.2%		17.1%	-4.3%	-6.8%		5.9%	10.7%		7.1%
4536	Santen	Core	Visible a			-0.2%	2.9%		4.3%	2.3%		6.6%	26.7%	24.7%		8.4%	3.5%		7.0%
4521	Kaken	Reported	IFIS			51.1%	173.0%		15.8%	-3.5%		16.9%	--	--		--	--		--
4540	Tsumura	Reported	Visible a			17.9%	16.5%		12.0%	12.5%		10.6%	30.8%	23.1%		13.6%	11.6%		6.5%
4552	JCR	Reported	Visible a			13.2%	9.7%		14.1%	7.9%		13.3%	-83.5%	48.5%		170.3%	206.3%		98.2%
4887	Sawai GHD	Core	Visible a			2.0%	3.2%		3.4%	4.0%		3.3%	-6.5%	-3.9%		81.8%	92.5%		86.2%
4553	Towa	Reported	Visible a			11.0%	10.8%		10.8%	10.4%		11.1%	20.0%	11.4%		41.1%	37.2%		38.5%
Ticker	Company	OP basis	Consensus			Sales							OP						
			Source	# of Est		1H			F12/26			Ce	1H			F12/26			Ce
				1H	F12/26	MSe	Cons	Gap	MSe	Cons	Gap		MSe	Cons	Gap	MSe	Cons	Gap	
4151	Kyowa Kirin	Core	Visible a	7	8	247.0	247.3	-0.1%	520.0	523.4	-0.6%	520.0	41.0	49.1	-16.5%	128.5	130.6	-1.6%	130.0
4519	Chugai	Core	Visible a	8	10	637.0	663.2	-4.0%	1,376.5	1,384.5	-0.6%	1,345.0	308.4	341.7	-9.7%	702.0	701.5	0.1%	670.0
4578	Otsuka	Core	Visible a	5	8	1,242.0	1,255.2	-1.1%	2,598.0	2,605.0	-0.3%	2,520.0	209.2	213.8	-2.2%	426.0	423.6	0.6%	355.0
YoY						YoY			YoY			YoY	YoY			YoY			YoY
4151	Kyowa Kirin	Core	Visible a			7.1%	7.2%		4.7%	5.3%		4.7%	17.1%	40.2%		17.0%	18.9%		18.4%
4519	Chugai	Core	Visible a			10.1%	14.6%		9.4%	10.1%		6.9%	13.4%	25.6%		12.6%	12.6%		7.5%
4578	Otsuka	Core	Visible a			5.2%	6.3%		5.2%	5.5%		2.1%	-12.5%	-10.6%		-4.5%	-5.0%		-20.4%

Note: Consensus as of June 12, 2026, Sales and OP are in billion Yen, Source: Company Data, Morgan Stanley Research. Ce = Company estimates, e = Morgan Stanley Research estimates

Daiichi Sankyo (4568, OW, PT ¥4,650)

Key Points

- Attractive ADC new drugs & Stable dividend (>Y100/sh/yr)
- Enhertu (HER2-ADC)
 - >\$12bn sales potential in 2030 (mainly in BC). Alliance with AZN
 - Her2 Low/Ultra-low BC (pre-chemo) approval in 1/2024 (DB06)
- Datroway (TROP2-ADC/Dato)
 - Launch in 2025 for BC(HR+/HER2-) 2/3L & NSCLC(EGFRm) 2/3L
 - NSCLC 1L. AVANZAR result in 2026-2H. TL07/08 results in 2027
 - TNBC 1L. FDA approval in 5/2026 (TB02)
- Merck alliance (max \$22bn value)
 - HER3: NSCLC (post-TKI). HL01. BLA withdrawn in 5/2025.
 - B7H3 (I-DXd): SCLC 2/3L (IDL01). PDUFA 10/2026
 - CDH6 (R-DXd): Ph2/3 (R-OV01, OvC 2L). Filing in 2026 ?

FV for each scenario

	Enhertu	Datroway	R-DXd	I-DXd	Base Bz	Total
Bull	¥4,300	¥1,800	¥550	¥550	¥600	¥7,800
Base	¥3,200	¥600	¥150	¥200	¥500	¥4,650
Bear	¥1,900	¥200	¥0	¥0	¥350	¥2,450

(\$m)	2030e(ww)				Probability			
	Enhertu	Dato	R-DXd	I-DXd	Enhertu	Dato	R-DXd	I-DXd
Bull	17,100	5,600	950	1,130	100%	100%	100%	100%
Base	12,800	1,960	330	390	75%	35%	25%	35%
Bear	7,700	560	0	0	45%	10%	0%	0%

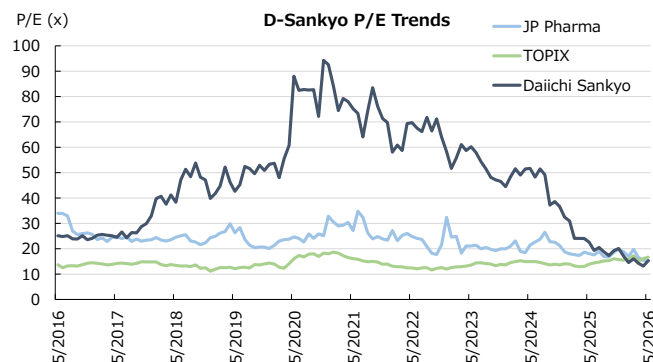
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
2026-2H	Dato-DXd: AVANZAR results (NSCLC 1L with Imfinzi, etc)
2027	Dato: Results for TL07 (TPS<50%) and TL08 (TPS>50%) for NSCLC 1L
2028	Competitor : sac-TMT. TroFuse-007 result (NSCLC 1L w Keytruda)

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	2123.0	2304.0	2331.5	2614.5	2917.5	3273.5
YoY	12.6%	8.5%	1.2%	12.1%	11.6%	12.2%
OP	229.1	365.0	425.5	392.5	489.5	624.5
YoY	-31.0%	59.3%	16.6%	-7.8%	24.7%	27.6%
Core OP	360.0	365.0	275.5	392.5	489.5	624.5
YoY	-8.3%	1.4%	-24.5%	42.5%	24.7%	27.6%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

Takeda (4502, OW, PT ¥6,300)

Key Points

- Multiple new drugs to emerge in 2025-26
 - Oveporexton (narcolepsy, oral): Ph3 (NT1) success in 7/2025. CoE Peak sales \$2-3bn for NT1 only. Ph2 POC result for TAK-360 (NT2) in 2026. OPM 80% or more
 - Zasocitinib (oral TYK2): Launch planned in 2027 (PsO). Acquired for \$4bn. CoE Peak sales \$3-6bn for PsO/PsA. UC/CD Ph2 results in 1-3/2027
 - Rusfertide (PV): Ph3 success. Filing in end-2025 and launch in 2026. CoE. \$1-2bn peak sales
 - Mezagitamab (IgAN/ITP): CD38 MAb. Ph3 starts from 2025
 - TAK-999 (GalNac-RNAi). AAT liver disease. Fazirsiran
- Dividend: It started to raise dividend from 2023 for the first time in the last 15yrs. Stable dividend hike ongoing (Yn4-8/yr hike)
- Share buyback: ¥100bn in 11/2021- 4/2022 (first time in the last 13yr). ¥100bn in 2-4/2025.
- Limited downside until 2030-32
 - Patent expiries: Vyvanse in 2023. Entyvio in 2030-2032
 - Co targets Core OPM to raise to low-mid 30%

FV for each scenario

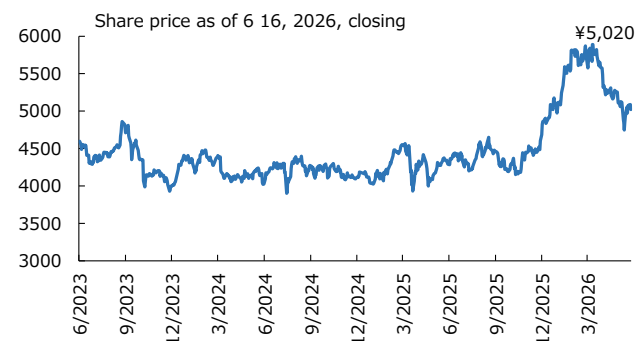
	Bull	Base	Bear
Orexin	¥2,200	¥1,000	¥200
TYK2	¥2,800	¥1,400	¥400
Base biz	¥4,400	¥3,900	¥3,400
Total	¥9,400	¥6,300	¥4,000

	2035 sales (w w)		Success Rate	
	Orexin	TYK2	Orexin	TYK2
Bull	\$5,700	\$7,600	100%	100%
Base	\$2,570	\$3,800	45%	50%
Bear	\$600	\$800	10%	15%

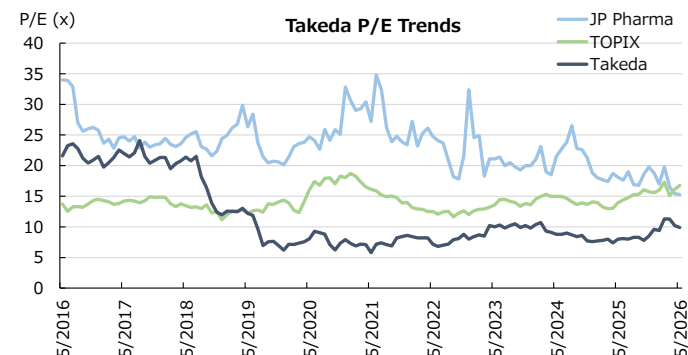
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
8/2026	US approval for Oveporexton (NT1) on 8/10 & Rusfertide (PV) on 8/29
2026	TAK-360 (narcolepsy) : Ph2 results (NT2)
1-3/2027	Zaso : Ph2 results for UC/CD

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates), Takeda's PE are based on our EPS estimates

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	4505.7	4626.0	4663.0	4846.0	4958.0	5003.0
YoY	-1.6%	2.7%	0.8%	3.9%	2.3%	0.9%
OP	408.8	486.5	591.5	774.5	890.5	967.5
YoY	19.3%	19.0%	21.6%	30.9%	15.0%	8.6%
Core OP	1172.4	1176.0	1186.0	1304.0	1365.0	1369.0
YoY	0.8%	0.3%	0.9%	9.9%	4.7%	0.3%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

Otsuka Holdings (4578, OW, PT ¥14,100)

Key Points

- New drugs & royalty revenue exceed LOE risks in 2025-29
- LOE (US): Abilify Maintena in 10/2024, Jynarque in 4/2025. Rexulti in 6/2029. We estimate Maintena LOE in 2027-28
- Royalty income: >¥300bn income in 2030
 - Kisqali (CDK4/6). Pluvicto (PSMA+Lu177). Truqap (AKTi)
 - KRAS G12C (calderasib) Ph3 ongoing by Merck (Astex/Otsuka collaboration)
- Voyxact: IgAN. US approval 11/2025. \$390k/year. eGFR 2yr results in 10/2026
 - \$5.9bn in 2035 sales in Base case
 - \$300k/yr x 15% penetrate (of 150-180k pt in US) x POS 60%
 - Success in eGFR trial can boost the POS furthermore
- Other pipeline wave is emerging
 - Zipalertinib (EGFRm NSCLC) : Oral. 2L approval in 2026. 1 L result in 2026
 - Ulotaront (MDD, GAD, etc) : Ph3 result for schizo in 2026
 - RDN (renal denervation) device : Change to Category I expected in >2028
- Non-pharma business: Strong brand & solid growth

FV for each scenario

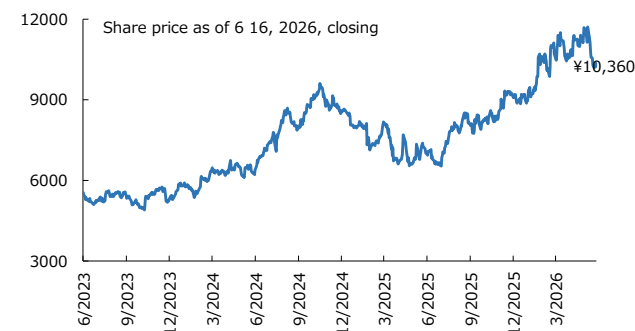
	Bull	Base	Bear
Voyxact	¥7,800	¥5,100	¥1,600
Zipalertinib	¥600	¥200	¥100
Ulotaront	¥2,500	¥500	¥0
RDN	¥750	¥200	¥100
Base biz	¥9,600	¥8,100	¥6,300
Total	¥21,250	¥14,100	¥8,100

	2035 Sales forecast (WW)			Success rate		
	(\$mn)	Bull	Base	Bear	Bull	Base
Voyxact	\$9,100	\$5,900	\$1,800	100%	65%	20%
Zipalertinib	\$1,150	\$400	\$200	100%	35%	20%
Ulotaront	\$3,350	\$700	\$0	100%	20%	0%
RDN	\$2,300	\$500	\$200	100%	20%	10%

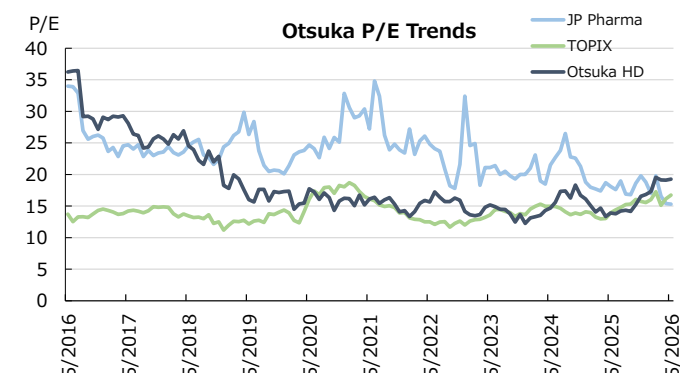
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
10/2026	Voyxact : IgAN. eGFR 24 months result. Interim 12 months was promising
10/2026	Ulotaront : Additional Ph3 result for schizophrenia
2026	Zipalertinib : NSCLC (exon20) 2L approval in US. Oral treatment
2027	Repinatrabit (JNT-517) : Oral PKU. Ph3 result (150mg BID) and NDA

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F12/25	F12/26e	F12/27e	F12/28e	F12/29e	F12/30e
Sales	2468.9	2598.0	2752.0	2887.0	2842.0	2782.0
YoY	6.0%	5.2%	5.9%	4.9%	-1.6%	-2.1%
OP	479.4	426.0	488.0	541.0	601.0	441.0
YoY	48.2%	-11.1%	14.6%	10.9%	11.1%	-26.6%
Core OP	446.1	426.0	488.0	541.0	601.0	441.0
YoY	3.6%	-4.5%	14.6%	10.9%	11.1%	-26.6%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

Chugai (4519, OW, PT ¥10,700)

Key Points

- Rich pipeline (but limited events in 2026-27)
 - Oral GLP-1 (Foundayo/orforglipron). LLY partner. US launch in 4/2026, but slow start. Ph3 results for OSA and hypertension planned in 2026-27
 - GYM329 (emugrobar) : Obesity Ph2 results in 2H-2026
 - NXT007. Hemophilia A. 2nd generation of Hemlibra Ph3 results in 2027-28.
 - Nemluvio (IL-31, atopic dermatitis). Galderma raised its peak sales expectation to \$4bn from \$2bn in 3/2026
- 2nd wave of pipeline
 - Enspryng for TED. Mixed Ph3 results. Co seeks filing in 2026
 - DONQ52. HLA-DQ2.5/Gluten peptide multi-Ab. Celiac disease. Ph1
 - Peptide drug discovery: Switch from LUNA18 to AUBE00 (pan-KRAS)
- Biosimilar risk
 - Actemra: Biosimilar erosion begins gradually from 2024 (Biogen, Fresenius Kabi, etc)

FV for each scenario

	Fair value / sh		
	Bull	Base	Bear
Piasky (PNH)	¥200	¥150	¥50
Nemluvio (Atopic)	¥1,700	¥1,200	¥350
Foundayo (Diabetes)	¥2,500	¥2,000	¥250
GYM329 (SMA, etc)	¥850	¥200	¥0
Enspryng (TED, etc)	¥900	¥250	¥0
Base Biz	¥8,000	¥6,900	¥6,300
Total	¥14,150	¥10,700	¥6,950

	2035 ww sales assumpt. (\$m/SFrm)		
	Bull	Base	Bear
Piasky	fr. 1,570	fr. 1,180	fr. 470
Nemluvio	fr. 5,900	fr. 4,130	fr. 1,180
Orforglipron	\$38,000	\$30,400	\$3,800
GYM329	\$3,400	\$850	\$0
Enspryng	fr. 3,250	fr. 980	fr. 0

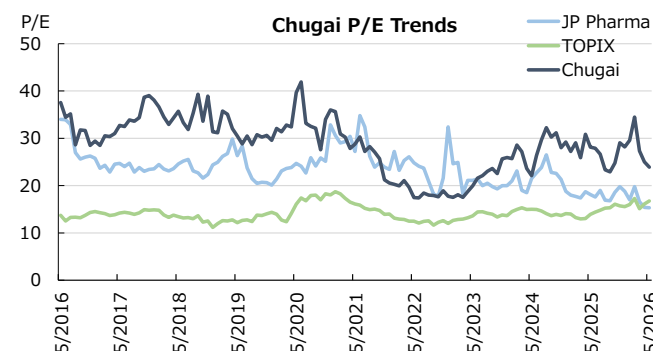
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates, PT=A weighted-average (Base case 60%, bull case 30%, bear case 10%) approach using probability rates for three scenarios

Timing	Catalyst
2026	GYM329: Ph2 result for obesity
2026	Orforglipron. Global launch. Competitors to come from >2028
2026	Piasky: Ph3 results for aHUS
2026	Enspryng (IL6R) : TED filing ?

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F12/25	F12/26e	F12/27e	F12/28e	F12/29e	F12/30e
Sales	1257.9	1376.5	1491.0	1604.0	1706.5	1875.5
YoY	7.5%	9.4%	8.3%	7.6%	6.4%	9.9%
OP	598.8	695.0	788.5	878.5	955.0	1092.0
YoY	10.5%	16.1%	13.5%	11.4%	8.7%	14.3%
Core OP	623.2	702.0	791.5	881.5	958.0	1095.0
YoY	12.1%	12.6%	12.7%	11.4%	8.7%	14.3%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

Kaken (4521, OW, PT ¥5,300)

Key Points

- 2 new drugs to offset the patent for Clenafin expiry
 - KP-001. Vascular Malformation. Ph3 (JP) successful in 11/2025 and US Ph3 underway.
 - Seladelpar. Primary Biliary Cholangitis. Ph3 (JP) readouts due out in end-2026. Gilead launched it in 2024 in US as Livdelzi
 - Envudeucitinib. Psoriasis. Global Ph3 (includes JP) success in 1/2026.
- JNJ has been a major shareholder with global expansion of its own pipeline
 - KP-723 (STAT6 inhibitor). Type 2 inflammatory diseases. Licensed to JNJ in 12/2024. Ph1 initiated from 4/2026.
- KP-483 (EP4 inhibitor). Solid tumors. Ph1 completed. Co targets license out.
- Clenafin: Kaken's mainstay. F3/24 sales Y17bn. AG launched in 9/2025.
- Cash rich. 70% of market cap if combining value of real estate and net cash
 - Net cash Y42bn, equating to Y1,100 per share.
 - Real estate Y60bn, equating to Y1,200 per share.

FV for each scenario

	Fair value		
	Bull	Base	Bear
KP-001 (VM, JP)	¥1,700	¥1,000	¥700
KP-001 (VM, US)	¥4,100	¥1,000	¥0
Seladelpar (PBC)	¥800	¥600	¥0
Cash	¥1,200	¥1,200	¥1,200
Real Estate Biz	¥1,700	¥1,300	¥1,300
Base Biz	¥300	¥200	¥200
Total	¥9,800	¥5,300	¥3,400

	FY2035 sales est. (¥mn)		
	Bull	Base	Bear
KP-001 (JP)	19,100	11,500	7,600
KP-001 (US)	65,100	16,300	0
Seladelpar	11,400	9,100	0

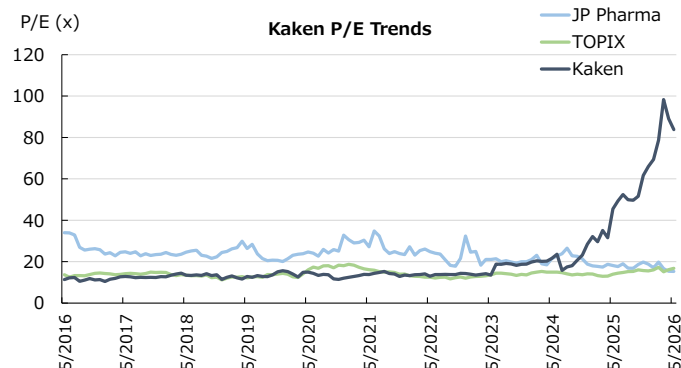
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
7/2026	KP-001: Ph3 (JP) details in JSSVA conference
8/2026	1Q26: Strong start with OP of Y8.5bn vs. Co full year guidance OP of Y7.9bn
10-12/2026	Seladelpar(JP): Ph3 readouts for Primary Biliary Cholangitis
~3/2027	KP-483 (EP4 inhibitor): Out-licensing/tie-ups

Source: Company, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	76.9	89.0	93.2	82.9	89.3	96.7
YoY	-18.3%	15.8%	4.7%	-11.1%	7.7%	8.3%
OP	-0.9	8.2	10.6	3.3	7.6	13.1
YoY	-104.3%	-1012.1%	29.3%	-68.9%	130.3%	72.4%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

Towa Pharmaceutical (4553, OW, PT ¥5,600)

Generic Industry

- Gov shifts towards consolidation in response to prolonged supply shortages
- Volume share already near 90%, leaving limited room for further expansion
- Corporate evaluation to accelerate consolidation among top-tier makers
- Key points for competitiveness in generics industry: 1) Supply capacity, 2) pricing strategy and 3) cost management

Key Points

- Improving earnings visibility; shares remain undervalued
 - Collaboration (outsourcing) with Adragos Pharma and Sanwa Kagaku enhances visibility on volume growth.
 - Portfolio optimization is progressing, with profitability improving through legacy products and new product launches.
 - Up to Y20bn raised via third-party allotment of preferred shares, easing CAPEX constraints.
- Obtained US/EU biz through Pensa acquisition in 2020;
- Earnings contribution remains limited

FV for each scenario

Scenario	FV
Bull Case	¥7,200 (P/E 13.0x Bull Case F3/28 EPS estimates)
Base Case	¥5,600 (P/E 11.0x Base Case F3/28 EPS estimates)
Bear Case	¥3,600 (P/E 8.0x Bear Case F3/28 EPS estimates)

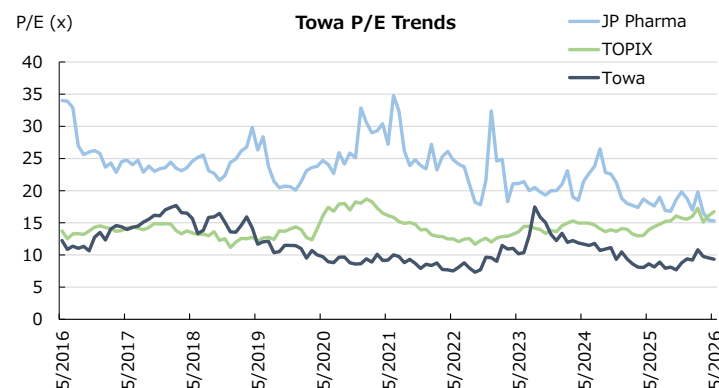
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
8/2026	1Q26 earnings
6-12/2026	Corporate evaluation by MHLW
2026-27	Update for volume strategy (outsourcing)
6/2027	Next mid-term business plan (F2027-29)

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	273.7	303.4	320.3	336.5	346.9	353.2
YoY	5.4%	10.8%	5.6%	5.1%	3.1%	1.8%
OP	23.1	32.6	33.1	36.1	38.1	39.3
YoY	-0.6%	41.1%	1.5%	9.1%	5.5%	3.1%

Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Astellas (4503, EW, PT ¥2,050)

Key Points

- Robust growth of current earnings vs. Xtandi cliff in 8/2027
- Mid-term plan 26-30: Sales bottom in F3/30. F3/31 target (Coe OP Y600bn)
- Xtandi: LOE in 8/2027. Part D redesign (1/2025-) boosts volume demand
- Izervay for GA: Iveric Bio (\$5.9bn acquisition in 2023)
 - Slower than expected growth after the lift of 12-months restriction (2/2025)
 - Apellis' Syfovre (competitor): US approval in 2/2023. Safety concern
 - \$4bn intangible for US business. EU withdrawal in 11/2024
- Padcev
 - Launched for 2/3L bladder cancer (mUC) in 2020
 - 1L mUC approval in 4/2023. MIBC success in 8/2025 (w Keytruda)
- Vyloy (Claudin 18.2 Ab)
 - 2024 launch for GC 1L. Faster than expected initial ramp up
- ASP3082 (KRAS G12D/setiderasib). PDAC 1L (Ph3, w chemo) interim result in F3/30. NSCLC 2L Ph3 (mono) result in F3/29. Competes with Dara of Revolution
- ASP2138 (CLDN18.3 x CD3 BsAb). GC 1L Ph3 results in F3/30
- AT845 (Pompe gene therapy), ASP7317 (Cell therapy for GA) in POC stage

FV for each scenario

Scenario	FV
Bull Case	¥2,800 (P/E 10.0x Bull Case F3/28 EPS estimates)
Base Case	¥2,050 (P/E 8.5x Base Case F3/28 EPS estimates)
Bear Case	¥1,650 (P/E 7.5x Bear Case F3/28 EPS estimates)

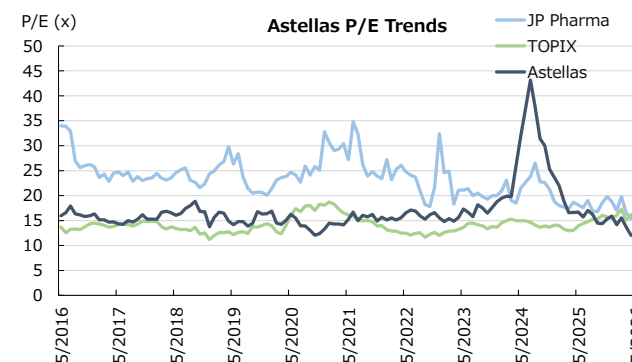
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

TimingG	Catalysts
2028	Setidrasib (KRAS G12D). NSCLC 2L+ Ph3 result (mono)
2029	Setiderasib. PDAC 1L Ph3 interim result (w chemo)
2029	ASP2138 (CLDNxCD3). GC 1L Ph3 result

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	2139.2	2291.0	2092.0	1941.0	1924.0	2010.0
YoY	11.9%	7.1%	-8.7%	-7.2%	-0.9%	4.5%
OP	382.6	437.5	358.0	249.5	237.0	297.5
YoY	832.4%	14.3%	-18.2%	-30.3%	-5.0%	25.5%
Core OP	555.7	662.5	583.0	454.5	442.0	502.5
YoY	41.6%	19.2%	-12.0%	-22.0%	-2.8%	13.7%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

Eisai (4523, EW, PT ¥3,800)

Key Points

- Leqembi (lecanemab)
 - 27% improvement in CDR-SB (0.45pt) – 3yr push back of progress. Q2W IV
 - Less than 10% frequency for ARIA-E
 - SC: QW 360mg. US launch in 10/2025 (maintenance). IV possible after 18 mths
 - Maintenance therapy: Q4W IV (\$13k/yr). QW for SC (\$19k/yr)
 - Initial therapy for SC : Approval expected in mid-2026 (500mg/wk)
 - PET installation number: 1700 in US, 600 in JP
 - Need to improve GPM. High 1 digit royalty pay to BioArctic
- Lenvima's LOE
 - Generic lawsuit mostly subsided (LOE pushed back to 6/2030 actually in US)
 - Settled with Sun Pharma in 2024. Win against Shilpa in 5/2025
- Kisunla (donanemab). US approval in 7/2024. \$32k/year/pt (\$26.5k Leqembi)
- Trontinemab. Roche. Ph3 starts in 2025 and launch expected in 2028.
- Etalanetug (MTBR Tau Ab). Ph2 results in 2027 (sporadic AD)
- E2086 (narcolepsy). Eisai plans to file in 2028 for both NT1 and NT2

FV for each scenario

	Fair Value / Share		
	Bull	Base	Bear
Leqembi	¥3,700	¥1,900	¥1,100
Lenvima	¥1,700	¥1,300	¥900
Other Biz	¥1,000	¥600	¥300
Total	¥6,400	¥3,800	¥2,300

	2030 Global Sales (\$m)		
	Bull	Base	Bear
Leqembi	\$6,300	\$3,200	\$1,900
Lenvima	\$1,800	\$1,370	\$900

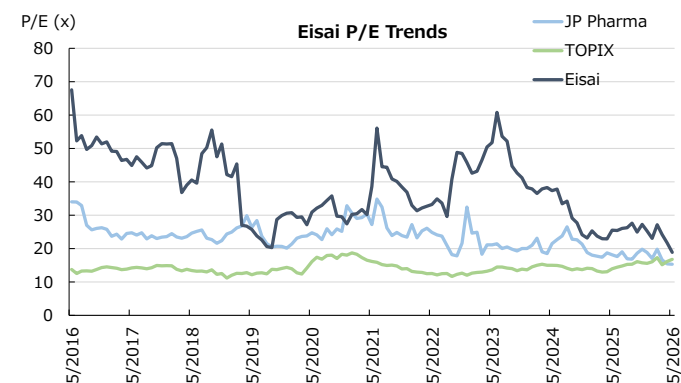
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalysts
8/2026	Leqembi SC: FDA approval for initial treatment (500mg QW)
2027-28	AD: Results for Etalanetug (Ph2, 2027) and Trontinemab (Ph3, 2028)

Source: Company data, Morgan Stanley Research, Note: AD=Alzheimer's Disease



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	825.4	899.0	999.0	1030.0	1083.0	1039.0
YoY	4.6%	8.9%	11.1%	3.1%	5.1%	-4.1%
OP	44.1	70.3	95.5	97.3	99.7	89.4
YoY	-18.8%	59.3%	35.8%	1.9%	2.5%	-10.3%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

Shionogi (4507, EW, PT ¥2,950)

Key Points

- Asset acquisition
 - JT/Torii : ¥30bn/yr royalty income (HIV, MEK). Cost synergy
 - Radicava: \$1bn sales. ¥400bn invest. LOE * 2029 for IV, 2039 for ORS
 - ViiV : Raise ownership from 10.0% to 21.7% (¥335bn invest)
- COVID-19 oral drug (Xocova)
 - JP approval in 11/2022. Protease inhibitor (QD) w/o booster
 - US : FDA review ongoing for prevention use (PDUFA 6/16/2026)
- HIV Franchise
 - CAB (injectable, Cabenuva, etc) shows solid growth.
 - Next gen LA injection S-365598 (Ph1, INI) expected to maintain HIV franchise until around 2040.
 - Gilead showed successful Ph3 for prevention (PrEP) studies
- Next pipeline
 - S-337395 (oral RSV). Ph2a success in 1/2025. Ph2b begins in 2025
 - S-899216 (Next COVID). Ph2 in oral, Ph1 in inj. BARDA grant for LAI
- Pipeline acquisition from outside

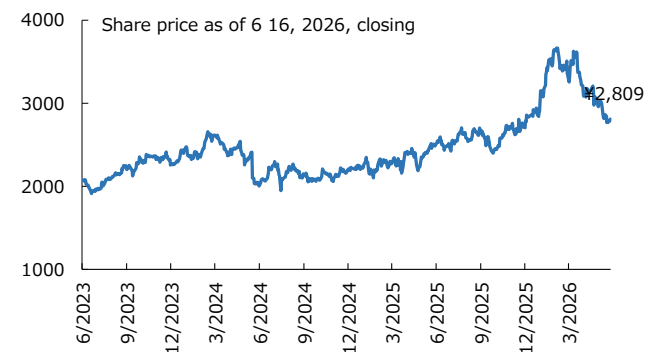
FV for each scenario

Scenario	FV
Bull	¥3,750 (P/E 10.0x Bull case F3/28 EPS estimates)
Base	¥2,950 (P/E 9.0x Base case F3/28 EPS estimates)
Bear	¥2,050 (P/E 7.0x Bear case F3/28 EPS estimates)

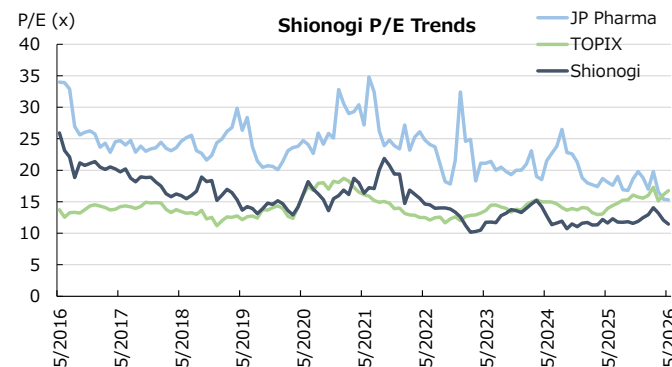
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
2026-27	S-337395: RSV (oral). Ph2b result
2028-29	LOE for Tivicay, Triumeq, Dovato, Radicava (IV)
2028-30	VH184 (NTRI, Q6M). Plans to launch (as a combo injection)

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	499.7	719.0	766.0	783.0	757.5	718.5
YoY	14.0%	43.9%	6.5%	2.2%	-3.3%	-5.1%
OP	166.7	250.5	305.5	310.0	249.5	219.5
YoY	6.5%	50.2%	22.0%	1.5%	-19.5%	-12.0%
Core OP	160.8	250.5	305.5	310.0	249.5	219.5
YoY	1.5%	55.8%	22.0%	1.5%	-19.5%	-12.0%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

Santen (4536, EW, PT ¥1,900)

Key Points

- Hinges on success of myopia (Launched in 2025) & ptosis (Launched in 2026) in Japan
- F29 Target: Sales Y400bn, Core OP Y80bn. Myopia Y30bn, Ptosis Y15bn.
- Japan
 - Ryjusea (Myopia) launched in 4/2025. 100% out of pocket scheme. Co expects peak sales of Y20bn in JP and Y60bn ww.
 - Upneeq (Ptosis) launched in 5/2026. 100% out of pocket scheme. Co expects peak sales of Y15bn in JP and Y45bn ww.
 - LOE for Alesion (2021), Diquas (2023) and Tapros (2023) and Eylea (2023)
- China
 - VBP triggered unit sales decline
 - Keep watch 1) economic slowdown and 2) anti-collapse campaign impact
- Europe and Asia: Stable high single-double digit growth
- US: Withdrawal in 2023
- Proactive shareholders' return policy (Annual ¥30-40bn buyback)

FV for each scenario

Scenario	FV
Bull Case	¥2,750 (P/E 17.0x Bull Case F3/28 EPS estimates)
Base Case	¥1,900 (P/E 12.5x Base Case F3/28 EPS estimates)
Bear Case	¥1,300 (P/E 11.0x Bear Case F3/28 EPS estimates)

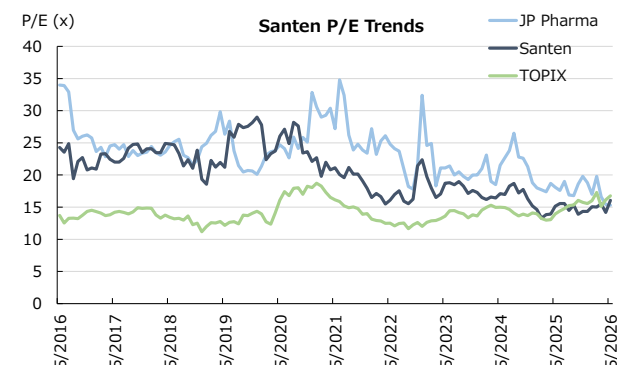
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
2026-27	Quarterly sales performance for Ryjusea (Myopia) for Upneeq (Ptosis)
11/2026	Share buyback Y20-30bn

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	291.6	304.1	312.0	325.4	338.9	356.6
YoY	-2.8%	4.3%	2.6%	4.3%	4.1%	5.2%
OP	47.8	50.9	56.9	64.5	72.4	84.5
YoY	2.0%	6.5%	11.8%	13.4%	12.2%	16.7%
Core OP	55.1	59.8	65.0	72.4	80.1	92.1
YoY	-7.1%	8.4%	8.7%	11.4%	10.6%	15.0%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

Tsumura (4540, EW, PT ¥4,100)

Key Points

- Profit growth plateau. Rising costs from efforts to build a solid supply structure has caused profit growth to plateau.
- Japan: Could be earnings upside if the current strong growth (>+4%YoY). We estimates slow sales growth due to the limit shipments in 2022-25.
- China: Significant earnings upside if China strategy including M&A progress in the future.
 - Current shares factor almost small expectations for China growth story
 - Acquired Tianjin China Medico (crude drug PF) in 2019 and Shanghai Hongqiao Traditional Chinese Medicine Yinpian in 2025.
 - Acquisition of Formulation PF will be in 2025-27.
- China market: Traditional Chinese Medicinal (TCM) market is as large as ¥1.6trn in 2023. Market is growing with the demand increase for high quality TCM products
- CAPEX: Investment plan approx. ¥150bn in 2025-27.
- CoGS ratio: Expect Y7-8bn increase in costs (depreciation + labor) over the next 3 years.

FV for each scenario

Scenario	FV
Bull Case	¥5,600 (P/E 10.0x Bull Case F3/28 EPS estimates)
Base Case	¥4,100 (P/E 9.5x Base Case F3/28 EPS estimates)
Bear Case	¥3,500 (P/E 9.0x Bear Case F3/28 EPS estimates)

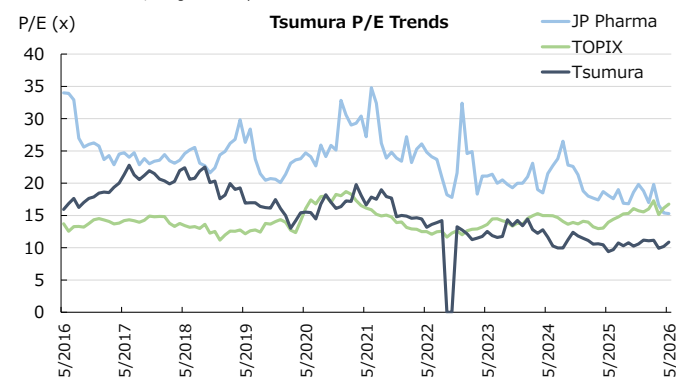
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
8/2026	1Q26 results
2026-28	M&A in Formulation platform in China

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	192.6	215.8	228.6	238.2	248.7	259.9
YoY	6.4%	12.0%	5.9%	4.2%	4.4%	4.5%
OP	35.2	40.0	42.8	45.0	48.3	50.6
YoY	-12.2%	13.6%	7.0%	5.1%	7.3%	4.8%

Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Sumitomo Pharma (4506, EW, PT ¥2,200)

Key Points

- 3 Growth drivers
 - Orgovyx: Prostate cancer. Co-promotion with Pfizer (from 12/2020); we forecast peak sales of \$2.3bn
 - PFE sales milestone; \$100m at \$500m, \$325m at \$1bn sales. Total \$1,750m income at max (5 steps, up to \$2.5bn sales)
 - Gemtesa: OAB. Rebate cut ongoing. Myrbetriq launch in 4/2024
 - Myfembree: UF/EM. Slow penetration. Pfizer alliance terminated in 2024
- 3 cancer drugs: Seeking partnering opportunities for Enzo and Nuvi
 - Enzomenib (AML, Ph1/2, Menin inh), sales up to \$1.7bn potential
 - Nuvisertib (MF, Ph1/2, PIM inh), sales up to \$0.8bn potential
 - SMP-3124 (Solid tumors, Ph2 initiate soon, CHK1 inh)
- LOEs
 - Orgovyx in 2029 (product) & 2037 (use). ANDA lawsuit vs. Cipla. IRA price negotiation risk in around 2030
 - Vibegron in 2034
- Net Debt; Y200bn debt as of 3/2026 - PO ¥100bn in 4/2026
- Sumitomo Chem: 43-44% ownership. Lifted debt guarantee for Sumi Pharm.

FV for each scenario

Scenario	FV
Bull Case	¥3,300 (P/E 13.0x Core EPS F3/28-29 average)
Base Case	¥2,200 (P/E 10.0x Core EPS F3/28-29 average)
Bear Case	¥1,500 (P/E 8.0x Core EPS F3/28-29 average)

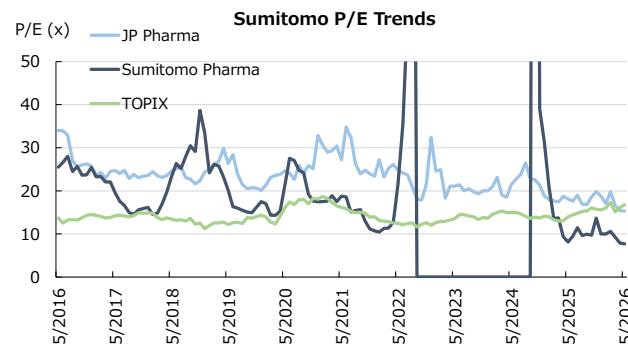
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
Early-2027	Partnering: Enzomenib & Nuvisertib
10/2026	2Q26: Dividend resumption
2026-27	Next medium-term Plan (Strategy for 2 new drugs, shareholder return)
2027-28	Co launch plan: Enzomenib (AML) in 2027, Nuvisertib (MF) in 2028

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	453.3	545.8	615.1	601.8	723.9	671.0
YoY	13.7%	20.4%	12.7%	-2.2%	20.3%	-7.3%
OP	107.3	104.3	140.6	93.9	188.4	120.7
YoY	272.6%	-3.0	34.8%	-33.2%	100.6%	-35.9%
Core OP	106.0	105.3	141.6	94.9	189.4	121.7
YoY	145.7%	-0.7	34.5%	-33.0%	99.6%	-35.7%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

SanBio (4592, EW, PT ¥1,500)

Key Points

- Akuugo/SB623 (TBI, Japan)
 - JP approval -7/2024 (filed in 3/2022). Commercial approval in 12/2025
 - Drug price ¥72mil/patient. CoE peak sales ¥2.8bn(39 patients)
 - Sales est (JP, 2035): ¥30bn=¥40mil x 1.1-1.2k pts x 70% POS
 - TBI patients : 60k in JP. Akuugo eligible patients : about 4000
 - Our est includes two times price cut in next 10yr (15-20% each)
- Akuugo (TBI, US)
 - Co plans to initiate US Ph3 in 2026-27 (FDA meeting completed)
 - Our model assume partnering in US (co to receive 35% royalty)
- SB623 (stroke)
 - Failed in US Ph2 in 2019. Sub-analysis identified favorable population
 - Co is seeking alliance partner (for both TBI and stroke in US)
- Capital needs.
 - ¥4bn capital raise in 12/2024 & 2/2025. ¥5-6bn/yr running cost
 - SanBio expects to gain govt subsidies (grants) & partnering income

FV for each scenario

	Fair value / sh			Success Rate			2035 sales est (\$m, Ynbn)		
	Bull	Base	Bear	Bull	Base	Bear	Bull	Base	Bear
SB623 (TBI, JPN)	¥1,400	¥900	¥300	100%	65%	20%	¥46bn	¥30bn	¥9bn
SB623 (TBI, US)	¥3,800	¥600	¥0	100%	15%	0%	\$1,310m	\$200m	\$0m
Total FV / share	¥5,200	¥1,500	¥300						

Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
5/2026	Drug pricing decision (¥72mil) for Akuugo (SB623)
2027-28 ?	US partnering for Akuugo ?
2027-28 ?	Next round of financing ?

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research

US/JPN TBI Ph2 data: SB623(500m cell) vs PBO

Variable	Statistic	Pooled SB623 (n=46)	Control (n=15)	Difference in LS Means and 95% CI	p-value
Change from Baseline in FMMS Score at Week 24 among all patients (missing individual items at baseline imputed with 0)	n	15	15	-	0.0065
	LS Mean (SE)	11.9 (2.3)	2.4 (2.3)	9.4 (3.2)	
	95% CI for LS Mean	(7.3, 16.5)	(-2.2, 7.1)	(2.9, 16.0)	

Source: Company, Morgan Stanley Research

US/JPN TBI Ph2 data: SB623 vs PBO

Variable	Statistic	Pooled SB623 (n=46)	Control (n=15)	Difference in LS Means and 95% CI	p-value
Change from Baseline in FMMS Score at Week 24 among all patients (missing individual items at baseline imputed with 0)	n	46	15	-	0.0444
	LS Mean (SE)	8.7 (1.5)	2.4 (2.3)	6.3 (3.1)	
	95% CI for LS Mean	(5.6, 11.7)	(-3.0, 7.7)	(0.2, 12.5)	

Source: Company, Morgan Stanley Research

(Yn bn)	F1/26	F1/27e	F1/28e	F1/29e	F1/30e	F1/31e
Sales	0.0	0.6	2.5	7.7	11.7	19.9
YoY	-	-	-	-	-	70.1%
OP	-3.8	-5.0	-5.0	-1.4	0.3	6.2
YoY	-7.9%	-31.8%	0.0%	72.0%	121.4%	-1966.7%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

JCR Pharma (4552, EW, PT ¥500)

Key Points

- JBC new drugs: Improved enzyme replacement therapy (ERT) by JBC
- Izcargo/JR-141 (Hunter/MPS II)
 - Better than Elaprase. JP launch in 5/2021. Global Ph3 result in 2026-27
 - FDA requires Ph3 for review. Ph3 completion expected in 2026 spring
 - Competitor
 - Avlayah: 3/2026 FDA approval. \$811k/yr/30kg BW.
 - RGX-121: CRL in 2/2026 (CBER) after 3 months push back of PDUFA
 - Global alliance. Looking for the replacement of Takeda
- JR-171 (Hurler/ MPS I)
 - JCR seeks partner before starting Ph3 (global)
 - Ph1/2 was successful in 2023 in cognitive function
- Other JBC new drugs:
 - JR-441 (Sanfilippo A). Ph1/2 starts in 2023. 1yr result in 2025-2H
 - JR-446 (Sanfilippo B). Ph1/2 starts in 12/2024. Medipal alliance
- Alliance: Non (141&171), Medipal (446, 471), Alexion (JBC), etc
- JBC-AAV: Gene therapy AAV vector to penetrate beyond BBB
- Akuugo: Test manufacturing ongoing in 2025. Potential contract as CDMO

FV for each scenario

Scenario	FV
Bull Case	¥780 (P/B 2.0x Bull Case F3/26 BPS estimates)
Base Case	¥500 (P/B 1.3x Base Case F3/26 BPS estimates)
Bear Case	¥390 (P/B 1.0x Bear Case F3/26 BPS estimates)

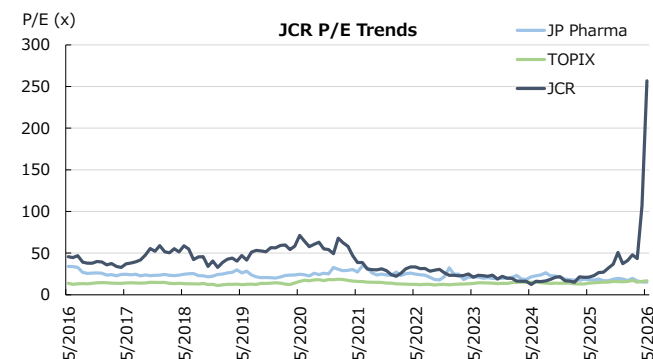
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
F3/27	Alliance for JR-141 (MPS II, global Ph3) & JR-171 (MPS I, Ph1/2 completed)
2026-27	Multiple JBC alliances. JBC tech & JBC products (JR-141, 171, etc)
2027	JR-141 (Izcargo, Hunter); Global Ph3 result (n=80) & US filing

Source: Company, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	40.3	46.0	45.6	43.2	45.9	50.2
YoY	21.9%	14.1%	-0.9%	-5.3%	6.3%	9.4%
OP	0.6	1.5	2.8	1.4	3.6	5.5
YoY	-108.3%	170.3%	86.7%	-50.0%	157.1%	52.8%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

Sawai Group Holdings (4887, EW, PT ¥2,000)

Generic Industry

- Gov shifts towards consolidation in response to prolonged supply shortages
- Volume share already near 90%, leaving limited room for further expansion
- Corporate evaluation to accelerate consolidation among top-tier makers
- Key points for competitiveness in generics industry: 1) Supply capacity, 2) pricing strategy and 3) cost management

Key Points

- Mid-term growth potential intact, near-term earnings in a wait-and-see phase
 - Supply capacity: 20.5bn pills in 2025 and expand to 25bn pills by 2030
 - Pricing strategy from 2023 to mitigate price declines over the next 5yrs
 - Strict SG&A/R&D const control enhances earnings stability and attractiveness
- We forecast core OP CAGR of +8% for F3/2026-31
- Proven track record for only one or two products in the past (Edirol, Viviant, Tamiflu, etc)
- Although entered in US biz, Sawai withdrew in 2024. Focusing on Japan biz now.

FV for each scenario

Scenario	FV
Bull Case	¥2,800 (P/E 15.0x Bull Case F3/28 EPS estimates)
Base Case	¥2,000 (P/E 12.5x Base Case F3/28 EPS estimates)
Bear Case	¥1,600 (P/E 11.0x Bear Case F3/28 EPS estimates)

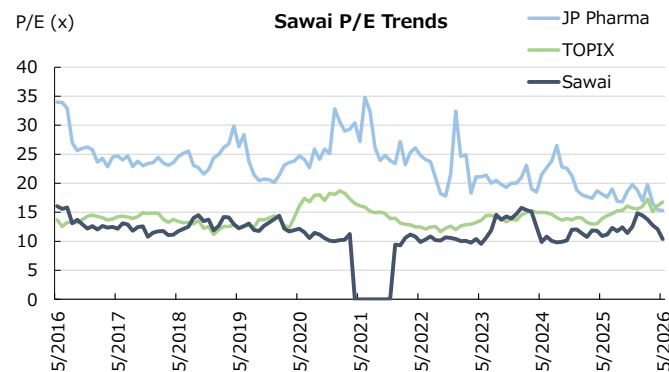
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
8/2026	1Q26 earnings
6-12/2026	Corporate evaluation by MHLW
8/2026	1Q26 earnings

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	201.7	208.6	221.4	235.6	250.0	264.7
YoY	6.7%	3.4%	6.1%	6.4%	6.1%	5.9%
OP	15.9	24.7	26.3	28.7	30.5	32.5
YoY	292.4%	55.4%	6.5%	9.1%	6.3%	6.6%
Core OP	24.8	28.9	30.5	32.9	34.7	36.7
YoY	-3.6%	16.6%	5.5%	7.9%	5.5%	5.8%

Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Ono (4528, UW, PT ¥1,950)

Key Points

- Opdivo
 - LOE: JP (2031), US (2028), RoW (2028-30). SC approval in 12/2024 (US)
 - Opdivo SC: Same royalty rate with IV. Ono can receive 10yr post-launch
 - Opdualag: LAG3 combo. Ono can receive royalty even after 2028
- Royalty for PD-1/PDL-1
 - Merck: 1.625% until 12/2023. 0.625% in 1/2024-12/2026. Zero in >2027
 - BMJ: 4% in US, 15% in RoW. Ends in 2028-30
- Other LOEs: Forxiga (2025-28 in JP), Glactiv (2026, JP)
- Deciphera (\$2.4bn acquisition in 2024)
 - Qinlock. GIST 4L on the market in US. GIST 2L filing expected in 2026-27
 - Romvimza. TGCT. US approval in 2/2025 w/o Black Box Warning
 - Intangible: Y150bn for Qinlock, Y160bn for Romvimza
- Next Pipeline (in US)
 - Velexbru: BTKi for PCNSL. US launch expected in 2026 (2L) and in 2028 (1L)
 - ONO-4685: PD1/CD3 Bispecific Ab. Ph1 result in 2025 (lymphoma)
 - ONO-1110: Cannabinoid mimic. Ph2 for pain/depression begins 2025
 - ONO-4578: EP4 inhibitor. GC Ph2 showed positive result

FV for each scenario

Scenario	FV
Bull Case	¥2,800 (P/E 16.0x Bull Case F3/28 EPS estimates)
Base Case	¥1,950 (P/E 13.0x Base Case F3/28 EPS estimates)
Bear Case	¥1,500 (P/E 11.0x Bear Case F3/28 EPS estimates)

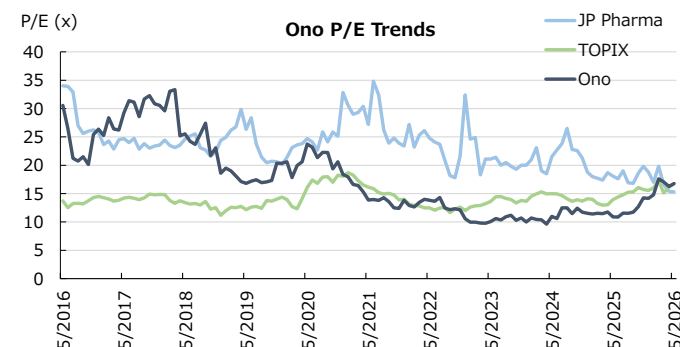
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
2026	Velexbru (BTKi): US filing based on US Ph2 result for PCNS 2L (2026L)
2026-27	Ph2 results for ONO-1110 (cannabinoid) & ONO-2020
2027-28 ?	Alliance for in-house products ? (4578, 2808, 2020, 1110, etc)
2029-30 ?	Ph3 results for ONO-4578 (EP4, GC) & ONO-2808 (S1P5, MSA-P)

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	515.8	451.0	429.5	457.0	463.5	465.0
YoY	5.9%	-12.6%	-4.8%	6.4%	1.4%	0.3%
OP	92.2	88.5	68.5	90.5	90.0	84.3
YoY	54.4%	-4.1%	-22.6%	32.1%	-0.6%	-6.3%
Core OP	-	118.5	93.5	113.5	113.0	106.3
YoY	-	-	-21.1%	21.4%	-0.4%	-5.9%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

Nippon Shinyaku (4516, UW, PT ¥2,600)

Key Points

- PAH: Uptravi. LOE in 4/2027 (US), 10/2027 (EU)
- CAP-1002 (DMD cell therapy)
 - FDA issued CRL on 7/2025. DMD cardiomyopathy.
 - Company re-submitted sBLA and PDUFA date is 8/22/2026. HOPE-3 study success in 12/2025.
 - \$1bn potential (US 15k pt x 7-8% penetration x \$1m/yr cost)
- Viltepso (exon 53, exon skip)
 - US launch in 2020. Failure in confirmatory Ph3 in 2024 to show motor function
 - Less likely to withdraw from US market. But need to monitor the growth
 - Additional clinical study needed to file in ex-JP/US. EU approval will be in 2027-28
- Competitor
 - Sarepta's Elevidys: US full approval in 6/2024 (>4 ages, ambulant/non-ambulant). 2024 sales \$694m in US
 - Sarepta's 3 exon skipping drugs are accelerated approved, though Ph3 failed in 11/2025
- NS-089 (DMD, exon 44), NS-050/051 (DMD, exon 50/51): US launch in 2027-29

FV for each scenario

Scenario	FV
Bull Case	¥7,300 (P/B 2.0x Bull Case F3/25 BPS)
Base Case	¥2,600 (P/B 0.7x Base Case F3/25 BPS)
Bear Case	¥1,800 (P/B 0.5x Bear Case F3/25 BPS)

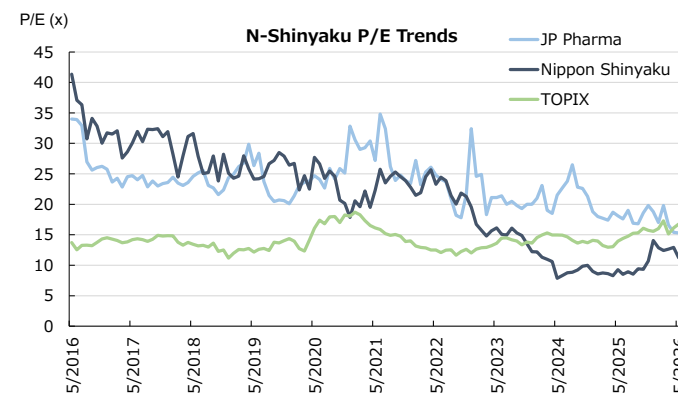
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
8/22/2026	CAP-1002: FDA PDUFA date for DMD cardiomyopathy
2026	Viltepso: Review of Study 301 and pre-review of Study 303 by FDA
2026	RGX-121 (MPS II, Hunter) : FDA type A meeting
F3/2027	NS-089 (exon 44): Registration trial result in US (DMD)

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F3/26	F3/27e	F3/28e	F3/29e	F3/30e	F3/31e
Sales	170.8	190.6	179.0	164.2	156.1	148.6
YoY	6.6%	11.6%	-6.1%	-8.3%	-4.9%	-4.8%
OP	35.5	37.6	22.1	4.0	4.7	4.7
YoY	0.1%	5.9%	-41.2%	-81.9%	17.5%	0.0%

Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Kyowa Kirin (4151, UW, PT ¥1,800)

Key Points

- Next new drugs
 - KHK4951: Ph2 results in 2026 for wet-AMD & DME (VEGF eye drop)
 - Ziftomenib: Kura tie up. AML 2/3L (mono). PDUFA in 11/30/2025
- Solid growth for next 10yr driven by Crysvita, Poteligeo and Nourianz
 - Crysvita: 30,000 patients (US/EU). 1k/yr new patients start to be treated
 - Poteligeo: Hematology. Solid penetration
 - Nourianz: LOE in 2025 (5 years since its launch)
- Potelligent royalty (ADCC technology)
 - Blenrep (BCMA, GSK) and Uplinza (CD19, Viela) are approved in 2020.
 - We assume 2-3% royalty rate
- Bispecific antibody: KK2260 (EGFR-TfR1) & KK2269 (CD40-EpCAM) in Ph1
- Orchard: Lenmeldy (MLD). US price \$4.3m/person
- KK needs to add more mid-late stage new drugs
- Kirin HD owns 54%

FV for each scenario

Scenario	FV
Bull	¥2,600 (P/E 11.5x Bull case F12/27 EPS estimates)
Base	¥1,800 (P/E 9.0x Base case F12/27 EPS estimates)
Bear	¥1,300 (P/E 7.0x Bear case F12/27 EPS estimates)

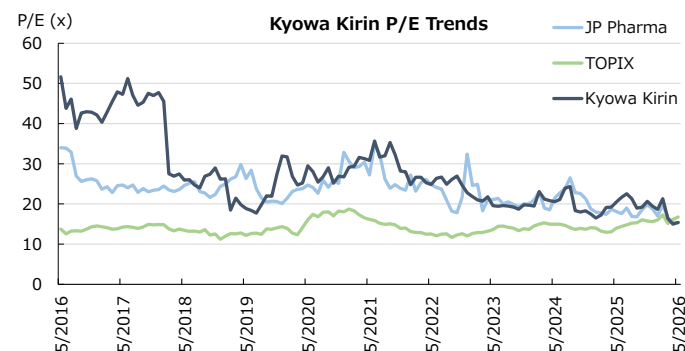
Source: Morgan Stanley Research, Note: all estimates are Morgan Stanley Research estimates

Timing	Catalyst
2026	Komzifti (ziftomenib): Initial uptake for AML 2/3L (mono). KOMET-001
2026	KHK4951 (VEGFR eye drop): Ph2 result for AMD

Source: Company data, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research



Source: FactSet, Morgan Stanley Research, Note: JP Pharma P/E are weighted Avg of our coverage companies' P/E (based on our 1-1.5 year forward EPS estimates)

(Yn bn)	F12/25	F12/26e	F12/27e	F12/28e	F12/29e	F12/30e
Sales	496.8	520.0	542.0	546.0	563.0	580.0
YoY	0.3%	4.7%	4.2%	5.0%	3.9%	6.2%
Core OP	109.8	128.5	134.0	117.5	116.5	116.5
YoY	15.1%	17.0%	4.3%	-8.6%	-13.1%	-0.9%

Source: Morgan Stanley Research, Note: e=Morgan Stanley Research estimates

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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INDUSTRY COVERAGE: Pharmaceuticals

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/18/2026)
Jaeheon Lee		
Kaken Pharmaceutical (4521.T)	O (11/18/2024)	¥3,800
Nippon Shinyaku (4516.T)	U (08/27/2025)	¥4,023
Santen Pharmaceutical (4536.T)	E (09/03/2025)	¥1,889
Sawai Group Holdings (4887.T)	E (06/12/2026)	¥1,653
Sumitomo Pharma (4506.T)	E (08/22/2025)	¥1,525
Towa Pharmaceutical (4553.T)	O (06/12/2026)	¥3,670
Tsumura (4540.T)	E (06/25/2025)	¥3,722
Shinichiro Muraoka		

Astellas Pharma (4503.T)	E (03/06/2024)	¥2,175
Chugai Pharmaceutical (4519.T)	O (04/24/2023)	¥7,566
Daiichi Sankyo (4568.T)	O (03/30/2019)	¥2,706
Eisai (4523.T)	E (09/28/2022)	¥3,969
JCR Pharmaceuticals (4552.T)	E (06/06/2024)	¥475
Kyowa Kirin (4151.T)	U (03/06/2026)	¥2,505
Ono Pharmaceutical (4528.T)	U (02/22/2023)	¥2,277
Otsuka Holdings (4578.T)	O (01/23/2026)	¥10,830
SanBio (4592.T)	E (03/28/2024)	¥1,103
Shionogi (4507.T)	E (03/03/2016)	¥2,833
Takeda Pharmaceutical (4502.T)	O (01/13/2026)	¥5,037

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* Historical prices are not split adjusted.